

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

RESPONDENT'S REPLY BRIEF

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COMES NOW, Respondent, Flexport International, LLC (“Flexport”), by and through the undersigned counsel, and files this, its Reply Brief and states as follows:

I. PRELIMINARY STATEMENT

Peloton’s Initial Brief (“Brief”) is noticeably sparse in terms of facts or evidence, and can be summed up into one simple argument: that, despite the clear case law to the contrary, Peloton need not provide a container-by-container and day-by-day analysis of each charge at issue because Flexport was responsible for all detention and demurrage charges under “store door” terms since “store-door” terms mean detention and demurrage-free for Peloton regardless of causation.

Instead, since it can produce no evidence to satisfy its burden of proof, Peloton urges the Commission to find that Flexport has somehow violated discovery orders and should be sanctioned, despite the voluminous production consisting of 33,000 documents consisting of 106,966 pages; over 10,000 shipment documents (including each NRA, Bill of lading, Invoice and Delivery Order for every shipment at issue); multiple spreadsheets setting for the details of each shipment, including status update and correspondence, totaling over 300,000 lines of data and full compliance with all discovery obligations and Orders.

What is glaringly absent from Peloton’s Initial Brief is any evidence whatsoever of any violation of the Shipping Act which would warrant reparations.

This is not surprising, since this is nothing but a fishing expedition conducted after absolutely no consideration by Peloton that it had a claim at all.

At each step of this litigation, Flexport maintained that it honestly did not know what it was alleged to have done wrong – other than assessing detention and demurrage (“D&D”) resulting from Peloton’s inability to receive shipments and in accordance with its Rules Tariffs as specifically referenced in the Parties’ agreements for port-to-port movements, with quotes provided for the additional port to door moves. In response, Peloton complained, again and again,

that Flexport was merely delaying the litigation. Yet, it was always Peloton who played games to unnecessarily prolong this litigation, from fabricating discovery disputes, to failing to meet and confer or even agree to simple requests.

And when it became clear that Peloton really had no leg to stand on in this case, Peloton concocted discovery disputes in hopes that the Presiding Officer would overlook the fact that they have engaged in a fishing expedition in the vain hopes of obtaining some documents to support its position.

At the end of the day, however, all Peloton has is – nothing. Only unsupported, conclusory statements from unqualified “experts” and “evidence” prepared by Peloton’s counsel. Recent Commission precedent and guidance make clear that, in order to prevail, Peloton must provide a container-by-container, day-by-day analysis for each and every charge **and** prove that such charge was the result of an unreasonable practices and procedures. Not only does Peloton not even come close to meeting this burden, they in fact arrogantly argue that **they don’t have to**. A reading of Peloton’s brief and Proposed Findings of Fact will leave one shaking their head. What is the claim here? Again – Flexport has never had any idea, because there is no viable claim presented at all.

Peloton’s entire “proof” boils down to the following: that the multiple references in Flexport’s production to “port congestion”, “chassis unavailable” and other “events” led to the “expert” conclusion that all D&D charges for every single one of the 7,000 containers at issue are unreasonable. This is not an exaggeration. This is what Peloton’s claim is.

Peloton does not identify a single charge that was assessed due to “port congestion” or “chassis unavailability” or any other event. Not a single one. Nor does Peloton identify a single delay that was caused by such an event. Peloton also fails to identify a single practice or procedure of Flexport which caused any delay or charge (which, of course, were also not identified).

Instead, Peloton, through its “expert”, designated after the discovery deadline, provides a list of invoices for which “port congestion” or “chassis unavailable” were mentioned in Flexport’s spreadsheet. The expert then concludes that, since these events were mentioned, the charges were unreasonable. The expert also concludes that, if no terms were listed, then the charges were unreasonable because this was “store door” service.

Peloton does not, however, link any mention of such events to actual delay or the imposition of detention or demurrage. None at all.

Further, the “expert” refers to invoices – not containers. Indeed, Exhibit “A” attached to Peloton’s Verified Amended Complaint (the “Complaint”), which was prepared by counsel after it was forced to revise the Original Complaint, lists each invoice¹ and combines the charges for detention and demurrage², without distinguishing between them.

But each invoice in fact often consists of several containers, with varying amounts of detention and/or demurrage and/or other charges included. Notably missing are the charges assessed against each container. Yet, this information was clearly readily available to Peloton at all times, as evidenced by Flexport’s production of a spreadsheet listing same – and Peloton’s own expert acknowledging such available information.

Finally, there is absolutely no breakdown at all as to the portion of the D&D charge if any, is attributed to “port congestion”, “chassis unavailable” or any event.

¹ In fact, several invoice numbers are duplicated in the Exhibit “A”, as they pertained to separate groups of containers which were part of the same shipment.

² To be clear, despite the clear language of the Complaint and Exhibit “A” that the damages were for D&D only, Peloton’s expert admits that these damages included of yard storage as well. Smith Rpt. at ¶ 25 (“Peloton asserts that [yard storage and warehouse storage] charges were also inappropriately invoiced to Peloton and were included in the total D&D Charges that were listed on the last column in Exhibit A to the Amended Complaint.”); see also CPFF346 (“Smith calculated Peloton’s damages in connection with yard and warehouse storage charges by reviewing individual invoices and supporting documentation to independently verify the charges identified in Exhibit A to Peloton’s Verified Amended Complaint, which did account for storage charges.”).

There is absolutely nothing – as Flexport has maintained all along.

What is completely absurd is Peloton's baseless claims that its utter lack of evidence was somehow due to Flexport's failure to produce documents. This will be fully addressed below. But some of Peloton's claims, and its own egregious discovery failures must be highlighted here to provide context for this entire case.

As a prime example is Peloton's claim for \$14 million in detention charges.

Despite Peloton's unqualified expert's unsupported opinion to the contrary, it cannot be disputed that Peloton, not Flexport, was responsible for notifying the trucker when a container at Peloton's yard was empty and ready for pickup.

The record is replete with emails reflecting that Peloton knowingly, intentionally, and consistently stored full containers at its facilities for weeks and months, incurring detention – and creating a backlog at the ports (incurring demurrage on other shipments) and keeping vital equipment out of the supply chain.

All too often, when Peloton notified the trucker to pick up the container, it was not, in fact, empty and/or there were many instances where unbeknownst to anyone (including internal departments at Peloton) when Peloton staff moved containers to another facility. Then, when truckers were deployed to pick up “empty” containers, Flexport had the daunting task of finding where these containers were moved to plus, discovering that they were still full upon arrival by the trucker for pick up. Notably, Peloton is not challenging certain charges, such as when a trucker was late for pickup or a return appointment was unavailable. Rather, Peloton is seeking recovery of all the detention charges.

As such, in discovery, Flexport asked Peloton to identify – for each container – the date that Peloton advised it was empty, how many days the container was at Peloton's facility, and the

basis for Peloton's claim that any delay was caused by Flexport. Peloton of course did not respond but asserted a litany of objections and then just stating that it shall produce the documents responsive to the requests, which were set forth in Flexport's Motion to Compel. *See* Flexport's Motion to Compel Responses to Discovery, Doc. No. 30.

On March 26, 2025, the Presiding Officer ordered Peloton to supplement its responses to interrogatories, including providing the specific bates numbers to which each response related to. *See* Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel, Doc. No. 47. Peloton failed to do so and on May 15, 2025, the Presiding Officer, noting that "Peloton's objections...are so sweeping as to be meaningless", ordered Peloton again to supplement its interrogatory responses and specifically identify any documents responsive to same. Order on Pending Motions, Doc. No. 62.

Again, Peloton failed to do so. Instead, as the Presiding Officer noted, Peloton responded that "without waiving its previous objections, Flexport maintained and/or had control over the Flexport platform containing information about the Subject Shipments and therefore, this information is in Flexport's possession." Order on Pending Motions and Complainant's Unilateral Status Report and Amending Scheduling Order, Doc. No.72 at 11.

As such, on June 30, 2025, the Presiding Officer Ordered Peloton to supplement the interrogatory response and provide the information. *Id.* at 12. Notably, the Order specifically provided that Peloton "is directed not to assert ant 'subject to' or boilerplate objections in its response. *Id.*

In "compliance" with the Order, Peloton produced a spreadsheet, purportedly providing this information. Before addressing this spreadsheet, two points are worth noting.

First, despite the Presiding Officer directing Peloton not to do so, in its Supplemental Response, Peloton stated “Peloton expressly reserves – and does not waive- all arguments and objections raised in its prior filings and responses...”. CXF-0025³ (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories) at 3.

Second, in its Supplemental Response, Peloton indicated that both the Bates Log and the spreadsheet were prepared by counsel, not Peloton – which is clearly not admissible evidence. *Id.* at p. 3, n. 9. Further, as will be addressed below, the information contained therein is simply wrong.

Regardless, the spreadsheet is noticeably deficient, containing information for less than 500 of the 7,000+ containers at issue.

And again, the reason provided by Peloton was that it somehow did not have this information because it was in Flexport’s possession. To be clear, it is Peloton’s position that the information as to when Peloton notified the third-party trucker that the containers in Peloton’s yard were empty are in Flexport’s possession and thus Peloton cannot provide the information. *See* CXF-0027 (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories) at 5. This is just an example of what Flexport has had to deal with throughout this litigation and will be addressed in further detail below.

Another glaring example is the “audit”.

Flexport raised this issue in its Motion for Sanctions (Doc. No. 63) and expressly incorporates same herein. In short, Peloton testified that it conducted an audit of each and every Flexport invoice and prepared a “living document” – a Google Suite spreadsheet, detailing each charge and Peloton’s basis for its claims.

³ In accordance with the November 8, 2024 Scheduling Order, Flexport will cite to documents in Peloton’s Appendix rather than include the same document in its own appendix. Peloton’s Appendix shall be referenced herein as CX[Category Letter]-[page number].

Yet, as set forth in the Motion for Sanctions, this information was not only never produced, but deliberately concealed by counsel for Peloton. At deposition, counsel claimed that the audit – and all documents derived from same – were “privileged” and “work product”. As set forth in the Motion for Sanctions, there is a great deal of confusion as to when counsel was retained and what input they had on the audit such that same would be confidential. Regardless, the Presiding Officer specifically ordered Peloton to identify all such documents in its privilege log, including all personnel involved, the dates of creation, etc. In “compliance” with the Order, Peloton provided the following:

REVIEWID	Family Relationship	Date of Communication	Doc Type	Last Author	From	To	CC	B C C	Privilege	Basis for Privilege Claimed
FPMC_CP002 000131300	Parent Email	9/7/2023	Email Message		Angad Gadhok <angad.gadhok@onepeloton.com>	Perri Michael* <perri.michael@onepeloton.com>	David Baitman <david.baitman@onepeloton.com>; Bharat Nair <bharat.nair@onepeloton.com>		Attorney Client	Email communication requesting legal advice on laws and regulations related to challenging and recouping detention and demurrage charges
FPMC_CP002 000131301	Email Attachment to FPMC_CP002 000131300	9/7/2023	Excel Spreadsheet	David Beyar					Attorney Client	Attachment compiled for the purpose of seeking legal advice on challenging and recouping detention and demurrage charges

RX242 (Peloton’s Privilege Log dated July 15, 2025). That’s it. A single email and a single document (which is identified as an Excel spreadsheet, not a Google Suite), each dated September 7, 2023. Yet, Peloton testified that this was a living document, being developed from September 2023 through May 2024 and beyond. Where, exactly, are all of the other versions of the document? Where, exactly, is any reference in the privilege log to Peloton’s outside counsels? Where are all the communications that Peloton admitted exist regarding this audit?

Peloton testified that the audit – and the emails relating thereto – contained all the shipments for which Peloton claims it was unfairly assessed D&D and the reasons why they

believed so. Peloton then testified that Exhibit “A” to the Amended Complaint included all such invoices. Yet, Peloton’s attorneys “testified” at deposition that Exhibit “A” was created by counsel using information from the audit. As such, there should be some record as to when and how this information was sent to Peloton’s counsel – assuming of course that they did not just create it themselves.

As previously argued, this audit is essentially Peloton’s entire claim. It should have been produced. The fact that it wasn’t – and the fact that counsel deliberately concealed it – speaks volumes. As such, based on these facts, and the utter lack of any credible, relevant evidence presented, an adverse inference must be made that this audit, and the documents derived therefrom, reflect what Flexport has maintained all along – that Peloton has absolutely no basis for its claims.

II. APPLICABLE LAW AND THE BURDEN OF PROOF

Several recent decisions issued by the Commission bear directly on the issues in this litigation.

a. Assessing detention and demurrage for “Store Door” transportation.

Throughout this matter, Peloton has maintained that since these were “store door” moves, then Flexport should never have assessed any detention or demurrage. Notwithstanding the fact that none of the shipments at issue moved under “store door” terms, the Commission has completely rejected this argument.

This precise argument was raised – by the same counsel for Peloton herein – in *Samsung v. SM Line*. See *Samsung Electronics America, Inc. v. SM Line Corporation*, FMC Docket No. 23-01 (Samsung’s Initial Brief, April 15, 2024). The Presiding Officer (which coincidentally is also the same herein) rejected the argument since it was “not supported by the applicable guidance”:

Despite that commentators argued that ocean carriers should not be able to charge shippers demurrage and detention on carrier haulage/store door moves, the Demurrage and Detention Final Rule does not contain such a

provision. Rather, the Commission expressed that it had concerns about charging shippers demurrage on carrier haulage moves under section 41102(c) and would closely scrutinize them in an appropriate case. 85 Fed. Reg. at 29664-29665. Thus, it is clear that the Commission has not determined that demurrage and detention cannot be charged on store door moves, but rather may be closely scrutinized when appropriate to do so.

Samsung Electronics America, Inc. v. SM Line Corporation, FMC Docket No. 23-01, 2025 WL 2231637, at *42 (ALJ Initial Decision, May 28, 2025).

The same argument was raised (again by the same counsel for Peloton herein) in *Samsung v. Zim*. See *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, FMC Docket No. 22-30 (Samsung’s Initial Brief, August 23, 2023). The Presiding Officer similarly rejected the argument, holding that charging detention and demurrage on store-door delivery was not by itself an unreasonable practice. *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, 2025 WL 1255544, at *59 (ALJ Initial Decision, April 22, 2025).

b. It is Complainant’s burden to prove each and every alleged Shipping Act Violation on a container-by-container and day-by-day basis.

It cannot be disputed that a claimant must prove each fact that constitutes the basis of the Shipping Act claim. In *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC*, the Presiding Officer made it clear that each charge must be proven with evidence for each day and each container. In fact, in dicta, Judge Wirth also made sure to advise future complainants that proceedings “would benefit from a greater focus on the specific shipments.” *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. S 41102(c)*, 2022 WL 3093193, at *27, 4 F.M.C.2d 53, 82 (2022). So, for example, rather than just listing invoice numbers, it would be helpful to identify who handled the shipments, the dates free time ended and detention was charged, the amounts invoiced, etc.” *Id.*

Relying on this, as the Presiding Officer made clear in *Samsung v. SM Line*, “[i]n the absence of a container-by-container analysis specifying the cause of each charge in dispute, a

complainant generally fails to meet its burden to establish that the damages sought proximately resulted from the unreasonable practices alleged.” *Samsung v. SM Line*, 2025 WL 2231637, at *46.

Thus, in the absence of a **container-by-container analysis** with information as to why each shipment remained in port beyond the last free day, as is the case here, there will generally be insufficient information in the record to determine whether or not the demurrage and detention charges at issue serve their primary intended purpose under the incentive principal of promoting freight fluidity, in accordance with section 545.5.

Id. at *42 (emphasis added).

And as succinctly stated in *Samsung v. Zim*:

[Claimant] has not established that ZIM is responsible for all of the demurrage and detention charges incurred and has not provided a shipment-by-shipment analysis sufficient to determine why specific containers incurred demurrage and detention charges. [Claimant] has not established that ZIM charging demurrage and detention on store-door delivery with carrier haulage was an unreasonable practice, therefore, these facts do not support a 41102(c) violation.

Samsung v. ZIM, 2025 WL 1255544, at *59.

This was also made clear in *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*:

Applying the fact-specific, container-by-container analysis used in *Hapag-Lloyd, A.G.*, I find that Complainant does not carry its burden of showing that the charges at issue are unjust or unreasonable as to almost every claim related to the 245 container shipments over which the Commission has jurisdiction. Complainant’s evidence of widespread congestion, including witness testimony...exemplar email chains describing congestion and equipment shortages..., and testimony that Supply Source never experienced charges of this magnitude before 2021-2022..., is not persuasive.

TZ SSE Buyer, LLC, v. Yang Ming Marine Transport Corp., FMC Docket No. 24-10, 2025 WL 1083815, at *20 (ALJ Initial Decision, March 24, 2025) (internal citation omitted).

And as held in *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*:

Due to the fact-specific nature of whether D&D charges are just and reasonable, it is appropriate to review the charges related to each individual container in order to determine whether a charge was unjust or unreasonable....Applying the fact-specific, container-by-container analysis

used in *Hapag-Lloyd A.G.*, I find that Complainant does not carry its burden of showing that any charges identified on VCC000005, or the Charges Spreadsheet are unjust and unreasonable. Neither the Complainant's evidence of widespread congestion, described in witness testimony and email chains, nor the expert witness's analysis..., are persuasive.

Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd, FMC Docket No. 24-01, 2025 WL 1662697, at *24-25 (ALJ Initial Decision, April 28, 2025).

These cases will be examined in depth below but they stand for two key legal precepts which completely undermine Peloton's claims: (1) even if a shipment is "store door" this does not mean that no detention or demurrage can be assessed; and (2) a complainant bears the burden of showing that each and every charge assessed, for each container and for each day, was the direct and proximate result of the alleged unreasonable act or practice.

III. DISCUSSION

a. Flexport did not provide "store door" service.

It is incredible how much reliance Peloton places on the term "store door" as the basis for why Peloton should not be responsible for detention and demurrage charges. The term is used twelve (12) times in the Amended Complaint. Peloton's witnesses used the term 30 times in the course of their depositions. And Peloton's expert witness, Richard Roche, used the term 18 times during his deposition.

Regardless of Peloton's obsession with this term, which their own expert admits is never used in the context of NVOCC services, there is no basis to assert that these were "store door" moves. First, Flexport is an NVOCC, not an ocean carrier.⁴ Flexport has neither its own containers nor its own truckers. This is neither disputed nor even alleged.

⁴ Although Richard Roche relies on – and indeed commented to the Commission on – the Interpretive Rule, he readily admits that the comments regarding same applied to ocean common carriers, rather than NVOCCs. Indeed, as the Presiding Officer in *Samsung v. SM Line* made clear, the Commission clearly did not hold that D&D cannot be charged on "store door" moves. *Samsung v. SM Line*, 2025 WL 2231637, at *42.

Second, Peloton’s claims are completely contradicted by the terms of the very agreements it references in the Complaint. The Complaint specifically alleges that the shipments at issue were transported under Negotiated Rate Arrangements (“NRAs”), Master Service Agreements (“MSAs”) entered into in June 2020 and July 2021, and their respective NVOCC Service Arrangements (“NSAs”). *See* Peloton’s Amended Complaint, Doc. No. 14 at ¶ 14.

The terms of the Parties’ agreements, including two MSAs and thousands of bills of lading and NRAs, clearly establish that each and every single shipment moved on “CY-CY” terms. Peloton just disregards these unequivocal facts, claiming that since Flexport agreed to arrange the inland transportation for most of the shipments, then these were “through transport” movements. Brief at 10, 13.

The two MSAs are essentially identical with respect to their terms. Each MSA provides that Flexport would provide “**global transportation and/or Customs services** as set forth in the service and fee schedules” included in the MSA. CXC-0028 (2020 MSA) at 1, ¶ 1; CXC-0044 (2021 MSA) at 1, ¶ 1 (emphasis added).

The MSAs set forth the ocean freight rates for the subject shipments. Notably, the 2020 MSA specifically provided:

3. Bill of Lading Freight Service

- a. All shipments will move on CY-CY Ocean Bills of Lading

4. Detention & Demurrage

- a. Rates include destination detention free time of up to ten (10) calendar days for US destinations. Rates will be subject to additional surcharges after free time expires as per Flexport Tariff Rule 23-030.
- b. Rates include destination detention free time of up to ten (10) calendar days for EU destinations. Rates will be subject to additional surcharges after free time expires as per the Flexport FEWB/FEED Demurrage & Detention Tariff.
- c. Demurrage free time and charges will be charged as per Flexport Tariff Rule 23-030.

CXC-0040 (Ex. B to 2020 MSA) at ¶¶ 3-4.

Likewise, the 2021 MSA specifically provided:

3. Bill of Lading Freight Service

- a. All shipments will move on CY-CY Ocean Bills of Lading.

4. Detention & Demurrage

- a. Peloton's supplier/s shall be responsible for any additional origin costs.
- b. Rates include destination detention free time/per diem of up to ten (10) days out of terminal. Demurrage for US and CA destinations is per Flexport Tariff. Rates will be subject to additional surcharges after free time expires as per Flexport Tariff Rule 23-030. If EU and AU rates are mutually agreed upon in writing by the parties, the rates shall include destination detention free time/per diem of up to ten (10) days out of terminal and demurrage for EU and AU destinations is per Flexport Tariff. .
- c. Demurrage free time and charges will be charged as per Flexport Tariff Rule 23-040.

CXC-0058 (Ex. B to 2021 MSA) at ¶¶ 3-4.

Thus the terms of the MSAs – which Peloton alleges the shipments were transported under – clearly provides that the terms of the shipments were CY-CY and were subject to demurrage and detention at the rates set forth Flexport's tariffs. CXB-3645-CXB-3646, CXB-3701-CXB-3702 (Kardian Dep.) at 201:22 – 202:6, 257:15 – 258:9; CXD-2655, CXD-2658-CXD-2659, CXD-2662, CXD-2670, CXD-2678 (Kardian Rpt.) at 8, 11-12, 15, 23, 31.

Further, the NRAs and their respective bills of lading clearly set forth, again, that each transport was CY-CY and subject to the detention and demurrage charges as set forth in Flexport's Rules Tariff. *See* Flexport's Answer and Affirmative Defense, Doc. No. 16, Ex. D (on every page).

Yet, the Agreements which Peloton alleges are applicable to these shipments undermine more than just Peloton's claim that these were "store door" moves. At no time has Flexport ever claimed that it did not arrange for the inland transportation for many – but not all – of the shipments. At no time has Flexport ever disputed that it advertises itself as providing "end to end" services. Flexport is a global logistics service provider. It performs a variety of services – 21 to be exact. CXB-0341 (Tanner Dep.) at 72:14-15. This includes services as an NVOCC, transportation broker, customs brokerage and indirect air carrier, to name a few. Peloton expends an inordinate

amount of time arguing that since Flexport held itself out as providing end-to-end services, then it contracted as an NVOCC for “store door” or through transportation and thus should be responsible for all aspects of the movement – including the return of the containers free of charge regardless of the circumstances.

Peloton vehemently argues that the 2021 MSA, in providing rates for both ocean and trucking services, transforms the “CY-CY” movement into a through transportation movement. Yet, the fact that these rates are separated indicates that they are in fact separate services. Indeed, the very language of the MSAs clearly contemplates the variety of services offered by Flexport:

Services Provider shall provide to Peloton global transportation and/or Customs services as set forth in the services and fees schedules attached hereto ... (collectively, “Services”).

CXC-0028 (2020 MSA) at 1, ¶ 1; CXC-0044 (2021 MSA) at 1, ¶ 1.

Section 7(c) of the 2020 MSA and 7(d) of the 2021 MSA, respectively, each provide separate limits of liability for ocean, air and customs brokerage. CXC-0033 (2020 MSA) at 6; CXC-0049-CXC-0050 (2021 MSA) at 6-7.

Peloton argues that the quotations clearly provide that the service is “port to door”. Yet, the unequivocal testimony is that the quotations were just that – quotations for all services offered. CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”). The quotations included ocean freight, as well as inland transportation and customs brokerage. Notably, the Parties’ agreements as well as all of the bills of lading indicate that the services will be “CY-CY”. *See* Flexport’s Answer and Affirmative Defense, Doc. No. 16, Ex. B-D. CXD-2654-CXD-

2659, CXD2662-CXD2668, CXD-2671 (Kardian Rpt.) at 7-12, 15-21, 24; RX47-RX64 (Bills of Lading sample).

Finally, the language of each and every quotation clearly provides that inland transportation is provided by Flexport as a transportation broker subject to the regulations of the FMCSA. CXC-0027 (Flexport Quote Shipment ID FLEX-1136147) at 2 (“U.S. trucking services are provided by Flexport International, LLC, a FMCSA licensed broker USDOT #2594279 and MC#906604-B.”); *see also* CXF-0060 (Flexport Quote for Shipment ID FLEX-1338356); CXE-0154 (Flexport Quote for Shipment ID FLEX-1117021); CXE-0166 (Flexport Quote for Shipment ID FLEX-1112979). CXD-2654-CXD-2659, CXD2662-CXD2668, CXD-2671 (Kardian Rpt.) at 7-12, 15-21, 24.

The entirety of Peloton’s claim is that since the movements were “store door”, it should not have been assessed any D&D at all, no matter the circumstance.

Yet, the Agreements which Peloton alleges are applicable to these shipments undermine more than just Peloton’s claim that these were “store door” moves. The Agreements, along with Peloton’s actions as alleged in the Complaint, also clearly negate any possible contention that it was not Peloton’s responsibility to pay for the detention and demurrage charges.

b. Peloton reviewed, approved, and paid each invoice and continued to use Flexport’s services for years without complaint or dispute.

First, Peloton agreed to pay for the Services at the rates so specified therein. CXC-0029 (2020 MSA) at 2, ¶ 3(a); CXC-0045 (2021 MSA) at 2, ¶ 3(a). The MSAs further addressed the invoices that Flexport would issue. Notably, for the 2020 MSA, Peloton agreed that, for any item on any invoice which was disputed, Peloton would notify Flexport of such dispute within 7 days. CXC-0029 (2020 MSA) at 2, ¶ 3(c). For the 2021 MSA, this time frame was extended to 30 days. CXC-0045 (2021 MSA) at 2, ¶ 3(c). If such dispute was not resolved, then Peloton could withhold payment. *Id.*

As set forth above, the MSAs then specifically set forth the free time for detention and demurrage and that the charges for detention and demurrage will be as set forth in Flexport's Rules Tariff. The NRAs and bills of lading, as well as the publicly-available Rules Tariffs, clearly set forth that Peloton was to be responsible for all D&D charges, at the rates set forth in the Tariff. RX142-RX187 (Flexport Tariffs).

Thus, the Agreements not only set forth that Peloton was responsible for D&D charges but provided a specific mechanism for Peloton to dispute same. And if the dispute was not resolved, then Peloton did not have to pay for same.

Any yet, importantly, that is not what happened here at all – because Peloton paid the invoices. Peloton's entire claim is that it was not responsible to pay any detention or demurrage charges because these were “store door” moves:

In the store door shipments, **Flexport, as the common carrier, was responsible for arranging and paying for all aspects of the inland movement of the Peloton Containers.....**

Peloton's Amended Complaint, Doc. No. 14 at ¶ 17.

Yet, the Agreements clearly provided not only that Peloton would be responsible for the payment of such charges but that Peloton had the ability to dispute any invoice. Thus, Peloton received the invoices, approved same, and ultimately paid them.⁵

Indeed, as Peloton itself readily admits in its Proposed Findings of Fact, it utilized a system called “Coupa” to process, review, and approve each one of Flexport's invoices. *See* Peloton's Proposed Findings of Fact (“CPFFs”), Doc. No. 80, CPFF223 – CPFF226. Moreover, Peloton had multiple levels of approval for each of the invoices, depending on the amount being charged. *See*

⁵ Flexport readily acknowledges that solely because an Agreement provides for the payment of D&D does not by itself negate a Shipping Act claim. Instead, Flexport highlights the terms of the Agreement to show that the Peloton was clearly aware that D&D would be assessed and that it would be assessed pursuant to Flexport's Rules tariffs.

CPFF226 – CPFF227. In fact, Peloton testified that “there were several people responsible” for approving Flexport’s invoices, always including a senior manager. CXB-1723-CXB-1728 (Peloton 143(b)(6) Dep.) at 238:6 – 241:17. For higher value invoices, this would include at least 4 individuals, including a director. *Id.* Thus, not only did Flexport have a dispute resolution process, but Peloton clearly had in place a detailed process by which it reviewed – and approved – each and every invoice, included at the senior manager and executive levels.

Which begs the question – then why did they pay \$33 million in D&D charges? That is, if Peloton believed that Flexport was responsible for all D&D because these were “store door” moves, then why didn’t Peloton ever challenge the assessment.⁶ There is not a single shred of evidence reflecting any instance wherein Peloton asked Flexport why it was assessing demurrage or detention at all if it believed these were “store door” moves for all the years that Flexport billed – and Peloton paid – for these services.

Indeed, Peloton was asked, if Flexport provided such poor service and was assessing ever-increasing D&D charges, then why did Peloton continue to utilize Flexport’s services for two years. CXB-1716-CXB-1718 (Peloton 143(b)(6) Dep.) at 228:24 – 230:1. Peloton responded: “because we needed to continue to move cargo and did not want to impede our credit limit.” *Id.* Peloton even includes this in its Proposed Findings of Fact – that Peloton only paid these invoices to avoid service interruption, knowing that, if Flexport was “charging us incorrectly, we had the time to go back and audit and dispute those invoices.” CPFF237 and CPFF239.

⁶ In *Samsung v. ZIM*, the Presiding Officer noted how the Samsung’s “employees checked rates, the container numbers, the in gate/out gate dates, and the last free day.” However, “[i]f ZIM was responsible for all demurrage under store-door shipments, this would not have been necessary. *Samsung v. ZIM*, 2025 WL 1255544, at *56.

So, it is Peloton's position that the only reason they continued to use Flexport, when Flexport was purportedly providing such horrible service and Peloton was racking up D&D charges, was because they did not want Flexport to cut off its services.

However, the documents produced by Peloton completely undermine this assertion. On August 2, 2022, David Baitman engaged in an internal discussion regarding moneys owed to Flexport. He stated: "We stopped doing business with [Flexport] several months ago and found a large number of invoices that were never paid. We had hoped to get all the invoices approved last night." The amount owed was **\$5.1 million**. CXC-0789-CXC-0791(email regarding payment of Flexport invoices). Peloton then approved and made the payment. CXC-0792-CXC-0808(email regarding finalizing payment for Flexport invoices).

If Peloton only continued using Flexport because it did not want the services to cease, then why, after Peloton stopped using Flexport's services, did Peloton review, approve and pay over **\$5 million** in D&D charges? That makes no sense at all.

Peloton just makes blanket statements that it is entitled to reparations for each and every D&D charge assessed by Flexport after 4 years of approving and paying Flexport's invoices – without providing the requisite container-by-container, day-by-day analysis required to prevail.

Yet, Peloton's position is untenable for several additional reasons. As outlined above, its position is undermined by multiple decisions from this Commission, the clear terms of the Parties' agreements, and the unexplained payment of the charges themselves.

c. Peloton's poor business planning and failure to manage its inventory capabilities causes of all of D&D charges at issue.

But more important is the fact that Peloton was the cause of all the D&D charges. And Peloton significantly contributed to the overall supply chain issues confronted by the entire industry during the Pandemic. It was Peloton's decision to increase production and importation of

its products to meet the consumer demand – when it had absolutely no capacity to receive the shipments.

Peloton’s grossly negligent business practices are well-publicized.⁷ As succinctly stated by Peloton’s former CEO John Foley: “To meet market demand, we scaled our operations too rapidly, and we over invested in certain areas of our business....**We own this. I own this, and we are holding ourselves accountable.**”⁸

Indeed, a shareholder’s derivative suit was filed to address the statements of Peloton regarding its profits when it was well aware that it was “drowning in inventory”. *See Robeco Capital Growth Funds SICAV – Robeco Global Consumer Trends, et al. v. Peloton Interactive, Inc.*, No. 1:21-cv-09582-ALC (S.D.N.Y. Nov. 18, 2021). The Second Amended Complaint in that suit contained detailed statements of confidential witnesses, who requested to remain anonymous for fear of reprisal from Peloton. *See Second Amended Complaint Robeco Capital Growth Funds SICAV – Robeco Global Consumer Trends, et al. v. Peloton Interactive, Inc.*, No. 1:21-cv-09582-ALC (S.D.N.Y. May 6, 2023), ECF No. 92. Some of the most pertinent statements concern precisely the issues in this case:

[T]he Bikes took up a lot of space with a very large quantity of product just sitting in warehouses...[E]xcess inventory was stored in containers outside of the actual warehouses or other warehouse locations that Peloton secured.

Id. at 9, ¶ 31.

[B]y early summer 2021, there was more product being delivered to their warehouse than demand required....[Peloton] started to allow containers to be left in the yard of the Carteret warehouse because there was nowhere inside the warehouse to put the Peloton product being shipped to the facility.... [t]he Company’s failure to address the reality of the inventory

⁷ See Flexport’s Motion to Dismiss, Doc. No. 10, at 4-6.

⁸ <https://www.nbcnews.com/business/peloton-analysis-mistakes-layoffs-recalls-challenge-company-leadership-rcna17777>

overflow resulted in ports flooded with excess inventory because there was nowhere else to store equipment.

Id. at 15, ¶ 52-54.

[Confidential Witness # 9 was] a cost and invoice analyst at Peloton... [and] reported to International Freight Manager Martina Scholz.... CW9 was tasked with building out a process on “how to properly audit” the freight invoices (for both international and domestic freight charges) and validate them. CW9 audited invoices that were submitted to Peloton by Flexport and Expeditors, freight forwarders with whom Peloton worked. CW9 stated that by June of 2021, Peloton’s **warehouses had run out of room to store inventory.... CW9 stated that ...Peloton was paying demurrage fees, because the excess inventory that Peloton could not store at its warehouses had to remain at the ports of entry into the United States.**

Id. at 16, ¶ 56-58.

CW31 was the Director for Supply Chain Development at Peloton from June 2021 to September 2021. ... CW31 stated that Peloton warehouses were running out of space and they were trying to look for ways to create space either by getting creative or securing additional storage. CW31 further stated that some warehouses began holding containers in the yard of their facilities instead of bringing the containers into the warehouse and further, that Peloton sourced additional housing with its third-party logistic providers XPO and JB Hunt.

Id. at ¶ 106-108.

In fact, it is unbelievable that Peloton actually attempts to place the blame on Flexport – arguing that somehow Flexport unilaterally decided to continue to transport Peloton’s shipments when it knew that Peloton did not have the capacity to store the inventory. *Id.* This is preposterous. It was Flexport that decided to transport the shipments? No – that is not how this works at all. Peloton places an order. Flexport quotes. Peloton accepts. Flexport performs.

Further, this is completely contradicted by dozens, if not hundreds of emails, flowcharts, spreadsheets, phone calls, meetings and PowerPoints, in which Flexport advised Peloton, again and again, as to the supply chain issues the entire industry was confronting – as well as the dozens

of emails from Peloton advising Flexport that containers must remain at port since there were still full containers sitting in outside its facilities because Peloton had no space to put the shipments.

The record is clear that Peloton held onto thousands of full containers at its facilities for weeks and months because it did not have the capacity to store them. This of course led to detention – but also demurrage since the containers could not be moved from the port due to the containers remaining stacked outside at Peloton’s warehouses.

Peloton’s own “evidence” as set forth in its Appendices prove this:

1. Peloton acknowledges the backlog of containers and advises that it is opening two new distribution facilities to address the problems. See CXE-0091 (email dated Nov. 28, 2021).
2. Peloton advises Flexport that Peloton has been notified that SFO Perris is at or over capacity and will not be able to accept inbounds. This continued throughout the week. CXE-0102-CXE-0105 (email regarding lack of capacity in June 2021).
3. On August 10, 2021, Peloton advised Flexport that “SFO Perris confirmed capacity is too tight to receive containers. We’re assessing how long this will last and the impact on future inbounds.” Flexport responded immediately, advising Peloton that it has 8 containers in JCT’s yard ready to delivery to Perris “but if we halt deliveries for an extended period of time, we put ourselves at risk of creating a backlog...in our trucker’s yard, which will further reduce our ability to pull new containers from the port due to space constraints which will lead to increased demurrage costs.” In response, Peloton acknowledged the information with thanks, and advised Flexport that they were

working on it. CXE-0108-CXE-0109 (email regarding lack of capacity in August 2021).⁹

4. On July 7, 2021, Flexport contacted Peloton to re-new the discussions regarding the unloading delays at Peloton's Ingram Micro facility – specifically regarding the **45 full containers which were sitting in the yard there**. CXE-0116 (email regarding Ingram Micro facility in July 2021). Two days later, Peloton advised that, no, they were not unloading the containers, but would rather be moving many of them to other facilities. CXE-0115 (email regarding Ingram Micro facility in July 2021). Two weeks later this problem had not been resolved and on July 21, 2021, following its call with Peloton, Flexport advised that **CMA-CGM was threatening to cut Peloton's allocation from Taiwan to Los Angeles to zero if empties cannot be returned to port. The email included a warning that Flexport expected more carriers to follow**. CXE-0114 (email regarding Ingram Micro facility in July 2021) (emphasis added). Flexport also stated **"as you're aware, containers sitting out of port for an extended period of time reduce the utilization and in turn contribute to the global equipment shortage."** *Id.* (emphasis added). Then, on August 5, 2021, Flexport advised that additional carriers are raising concerns regarding Peloton containers sitting out of port

⁹ Indeed, as one of the confidential witnesses in the shareholder derivative suit stated: "into 2021 there was talk about the port being backed up and then there was a 'floodgate' of containers in addition to an 'insane' amount of inbound product. As a result, CW11 stated that Peloton opened up its San Bernardino facility to alleviate the buildup of containers and that the San Bernardino site contained exclusively excess, overflow product.... by April or May 2021 **the Perris distribution center had become so overwhelmed with incoming inventory shipments that the employees spent most of their time moving products internally, because so few deliveries were going out of the warehouse**. CW11 also reported that **by April or May 2021, the yard at the Perris warehouse was filled with containers which could not be unloaded because there was no place inside the warehouse to store the product.**" *See* Second Amended Complaint *Robeco Capital Growth Funds SICAV*, ECF No. 92, at ¶¶ 66-67 (emphasis added).

for extended periods of time. CXE-0119-CXE-0120 (email regarding Ingram Micro facility in August 2021). Flexport stated “to allow Flexport to continue to support Peloton’s need for additional space, we really need Peloton’s support in unloading containers and making them ready for pickup.” *Id.* Flexport then pointed out that there are **51 containers at Ingram Micro that have been out of the port for more than 20 days – with D&D sitting at over \$400,000.** *Id.* Flexport also noted that OOCL is asking about two containers that have been out for 56 and 47 days. *Id.*

Peloton’s response: We are aware of the issue and attempting to procure more warehouse space across our network....We’re working on approval for more storage capacity on several fronts. Please bear with us. **We are keenly aware of the costs.** *Id.* (emphasis added).

Again, these are documents from Peloton’s Brief. And all of these charges are included in Peloton’s claim – how, exactly, is Flexport liable for same?

We outline several other examples of Peloton’s lack of capacity and its ready acknowledgment that it was responsible for the resulting charges.

1. First, we address the shipments that have the largest D&D charges assessed – all of which pertain to the “IBAS” containers. These are represented in Peloton’s Exhibit “A” and in Smith Exhibit “3” with the following FLEX IDs: 1111157, 1126127, 1121017, 1117021, 1129896, 1126122, 1109767 and 1150998. The D&D on these shipments alone amount to over **\$1,714,170.** And each of these shipments were sitting in the yard incurring detention, chassis and yard storage fees solely because of Peloton’s “IBAS production shutdown”. RX236-RX237. Yet, Peloton’s expert blames Flexport for these charges.

2. On December 10, 2021, David Baitman reached out to his team – and EDRAY – to advise that there are 3 containers which were **70 days old** and its allocation with the ocean carrier Evergreen was being threatened if Peloton could not get them returned. Mr. Baitman then said the two facilities appear to be full and to please find space to empty the containers. CXC-0853-CXC-0855 (email regarding Evergreen containers). It is noted that these containers were transported by EDRAY, not Flexport. Yet, Peloton includes **all** of the detention charges assessed for these three (3) containers in its claim:

TRHU5435807: \$24,515. Peloton Amended Complaint, Doc. No. 16, Exhibit “A”¹⁰ at line 484 (FLEXID 1209567-5).

GCXU5318511: \$18,950.00. Peloton Amended Complaint Exhibit “A” at line 483 (FLEXID 1209569-4).

TEMU7142609: \$24,780.00. Peloton Amended Complaint Exhibit “A” at line 483 (FLEXID 1209569-4).

Notably, Mr. Smith also included these charges in his liability analysis, attributing the detention charges solely to Flexport. See CXD-1692-CXD-1693, (Smith Suppl. Rpt. Ex. 3) at Transaction # 1100 and 1109.

3. On May 11, 2021, in an email with the subject line “Peloton IBAS Container Backlog in Los Angeles / Containers arrived pending delivery & Containers Arriving in May”, Peloton held an internal discussion regarding 82 containers which had arrived but which could not be delivered to Perris, and which were incurring demurrage. In response, David Baitman noted “for our Des Moines business case: we are paying \$12k / day in demurrage today.

¹⁰ Since Peloton’s Exhibit “A” was not searchable and did not contain line numbers, for ease of reference, see Flexport’s Answer and Affirmative Defense, Doc. No. 16, Ex. A

With 58 Prizm containers arriving in Oakland in 2 days this is likely to more than double.” CXC-0713-CXC-0714 (email regarding IBAS backlog May 2021).

4. In November and December, 2021, Peloton engaged in an internal discussion to “eliminate the backlog” at its facilities, “looking at all landed containers, and containers currently on the water.” RX224. Peloton noted that **its warehouse network will hit capacity** on January 17, 2022. RX223. In response, David Baitman states “We’ll get ourselves out of the backlog about 10Jan. **Then we’ll be full again and start building more D&D** the week of 17 Jan.” *Id.* Thus, Peloton readily admits that its facilities are backlogged and clearly acknowledges that D&D is the result. Peloton even prepared a “backlog plan”. RX224.
5. On April 21, 2022, EDRAY sent Peloton a list of the oldest containers dwelling at Peloton’s Hesperia facility, asking for status as to when these can be unloaded. CXC-0704-CXC-0705 (email regarding Hesperia facility April 2022). Peloton responded “we are not unloading any containers as we are concentrating on live unloads from Vernon and Redlands, I will update you once we start unloading the containers.” *Id.*

In other words, Peloton allowed dozens of containers which were already in detention to sit unloaded at its facility so it could unload other containers which were just arriving.

In response, Mark Diaz of Peloton wrote “Our team was unaware that we had completely paused unloading them at Hesperia DC. We are incurring heavy daily detention costs on these dwelling containers (Especially the ones with **100+ days**) and need to ensure we proactively work toward emptying and returning them. *Id.* (emphasis added). Peloton’s response: “we have struggled putting the loads away at the end of the day and we leave loads overnight on the dock....**We have been leaving 7-14 loads on the docks**

daily....Sorry if this is what you don't want to hear but it is just too many loads and not enough [employees] to get the job done....I mean no disrespect and I am not pointing fingers but **it's a numbers game and a \$\$\$ game and we are losing**." CXC-0702-CXC-0702 (email from Peloton dated April 23, 2022) (emphasis added).

6. On July 21, 2021, Flexport reached out to Peloton in efforts to work together for a solution to Peloton's self-created capacity issues. The email was a follow-up to daily calls and emails over the weeks prior. In summary, Flexport was making sure Peloton was aware of the following:

1. Peloton cargo was accumulating in the Los Angeles area due to decreased inbound capacity at Perris, shutdown of IBAS inbounds, and significant import volume
2. 154 containers in yard storage pending delivery to Perris
 - a. 62 of which with no timeline as to when Perris can receive
3. 293 containers at the port and not gated out
4. 350 containers arriving in the next 2 weeks – 73 of them to Perris
5. Backlog has maxed out yard space and further delayed outgating cargo from the port. CXE-0129-CXE-0130 (email regarding LA Backlog).

Peloton's only response? It is planning to move 28 containers out of Perris's yard in the next few days. RX232-RX235.

7. Peloton's capacity issues were not confined solely to the containers being moved by Flexport. For example, on January 21, 2022, Expeditors wrote to Peloton: We've run into some significant issues over the past few days because of the **backlog at Linden**. We have **a number of chassis that are tied up at Linden waiting to be unloaded. With these chassis out of service until unloaded, there is severely limited capacity to pull additional containers**. This issue is coming at a time of extremely high Peloton volumes to NY/NJ ports....**We have 115+ containers arriving in the next week** and a half, along with the 50+ that still need to be recovered at the terminal. **It is going to be a challenge**

to pull all containers until the chassis can be freed up. In this market, chassis are difficult to come by and having dozens sitting at Linden is compounding the issue.....Due to the above mentioned conditions at Linden resulting in equipment shortages, there was demurrage on multiple containers this week. CXC-0826 (email from Expeditors January 2022) (emphasis added).

In short, as a direct result of Peloton's backlog at its Linden facility, it incurred demurrage on 50+ containers that Expeditors was unable to pull from the port. This was compounded by Peloton keeping all of the chassis tied up as well.

Peloton's capacity issues at its facilities were well-publicized.

Yet, with all of this – and there is plenty more – Peloton denies that it had capacity issues and that there was any chassis shortage at this time and that Flexport should have just “found some”. See CXD-0015-CXD-0016 (Roche Rpt.) at 15-16, ¶¶ 23-27. Why was this issue not addressed at all by any of Peloton's three liability experts or their 5 reports? These failures completely undermine the credibility of each of them, as well as Peloton's claim.

The record is also unequivocally clear that Peloton was responsible for emptying the containers and notifying the truckers when the containers were empty. CXB-2640-CXB-2641, CXB-2785-CXB-2786 (Baitman Dep.) at 32:25 – 33:6, 177:19 – 178:1. The record is also clear that on many occasions, when the trucker arrived to pick up the containers which Peloton said were “empty”, they were, in fact, still full or moved (and still full). CXB-2787 (Baitman Dep.) at 179:3-19. This caused further D&D – which Peloton now seeks to claw back.

Yet, somehow, despite the clear evidence as to which party was responsible to return the containers to the port, Peloton's “expert” gives his opinion (based on zero years in the industry) that, under “store door” terms, it was Flexport that was responsible for returning the containers to

the port and thus, no detention at all should have been charged. *See* CXD-0016, CXD-0019 (Roche Rpt.) at 17, ¶ 31, 19, ¶ 40; *see also* CXD-1665-CXD-1666 (Smith Suppl Rpt.) at 8-9, ¶19; CXD-1734 (McCown Rpt.) at 7, ¶ 26.

And it gets worse. After Peloton failed to comply with two Orders, on June 30, 2025, the Presiding Officer again Ordered Peloton to provide, for each Subject Shipment: (a) the date upon which Peloton advised that the container was empty; (b) the number of days the container was at Peloton's facility before Peloton advised that it could be returned; and (c) the factual bases as to how the delay could be the result of Flexport's actions or inactions. *See* Order on Pending Motions and Complainant's Unilateral Status Report and Amending Scheduling Order, Doc. No. 72.

In compliance with this Order, Peloton's counsel submitted a spreadsheet purportedly showing the dates that Peloton notified the trucker that each container was empty. We note that it was counsel who submitted it because the Supplemental Responses specifically states that this was prepared by counsel and was not a record of Peloton. CXF-0026-CXF27 (Peloton's Third Suppl. Responses to Flexport's Interrogatories) at 4-5; CXF-0032-CXF-0052 (Peloton's Third Suppl. Responses to Flexport's Interrogatories App. 1).

How, then, could this be admissible evidence? And how could this be in compliance with the multiple Orders or the Rules of discovery?

Regardless, it is noted that Peloton only provides the empty notification dates for **496** of the 7,343 containers. *See* RX3-RX6 (Tanner Second Decl.). That is only **6.7%** of the containers at issue.

The reason provided? Peloton claims it does not have this information! It is Peloton's – no, Peloton's counsel's – position that Peloton is not in possession of the information as to when Peloton notified the trucker that the containers were empty. CXF-0026-CXF-0029 (Peloton's

Third Suppl. Responses to Flexport’s Interrogatories) at 4-7; CXF-0138-CXF-0140 (Letter from Little dated July 17, 2025). Yet, Peloton proffers that it has somehow proven its case for \$14.2 million of detention charges as well as its case for \$33 million of total D&D.

In the Supplemental Response, Peloton’s counsel argues that this information is contained within the Flexport “Warehouse App” which has not been produced and, thus, Peloton has been denied this information. This argument fails for several reasons.

First, regardless of whether Flexport has this information or not, clearly Peloton should have it – it is, after all, Peloton’s own data, which is certainly contained in the concealed audit records. Indeed, David Beyar, Peloton’s Sr. Manager of Transportation Operations testified that its “ERP system” contained all of the relevant shipment information, including “the audit logs on when the purchase order or shipment was created and then if there were milestones along the way and when that shipment was finally received at our – at one of the distribution centers or warehouses.” CXB-2193 (Beyar Dep.) at 145:17 – 146:14. In fact, David Baitman specifically testified that, in preparing the “audit”, **Peloton specifically looked at the dates they provided the notification that a container was empty.** CXB-2689, CXB-2785-CXB-2786 (Baitman Dep.) at 81:10-25; 177:12 – 178:1.

Second, Peloton had – and continues to have – full access to Flexport’s Core system, including the “Warehouse App”.¹¹ *See* CPFF147 (acknowledging that Peloton utilized the app during the relevant time period).

Third, Peloton in fact only used the Warehouse App for 63 of the subject shipments. *See* RX3-RX6 (Tanner Second Decl.).

¹¹ Counsels for Peloton have been advised of this fact, but respond that the individuals which had access are no longer at Peloton. How is that relevant?

Fourth, Peloton had the ability (and still does) to enter any date into the Warehouse App. Peloton could backdate it or enter a future date. It does not matter. Indeed, the evidence will show that on more than one occasion, after Peloton entered the “empty notification” date into the Warehouse App, when the trucker arrived he found the container to be, in fact, full. CXB-1173 (Breck Dep.) at 194:10-15 (“One of the difficulties that we faced was we were advised XYZ container is available for pickup. Our trucker would then go to pick up that container. They would speak to the actual person or group of people there who’s managing the warehouse who would say, no, this isn’t empty yet.”).

Finally, the data from the “Warehouse App” is in fact **contained in the Events Downloads**. CXA-0242 (Tanner Decl.) at 2, ¶10-13. For example, the below is a screenshot from the Events Downloads reflecting a handful of entries by Salvador Mendez, a Peloton employee who entered the empty notifications into the Warehouse App.

Container KOCU4032785 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1040536	2021-04-15 15:34:53	Salvador Mendez
Container TCNU5372937 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1038829	2021-04-15 17:23:36	Salvador Mendez
Container EISU9378943 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1040540	2021-04-19 19:44:44	Salvador Mendez
Container TGBU5821067 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1029803	2021-04-20 15:26:36	Salvador Mendez
Container KOCU4589575 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1040536	2021-04-20 15:31:56	Salvador Mendez
Container EMCU9795991 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1029802	2021-04-20 15:39:37	Salvador Mendez
Container WHSU5065633 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1029830	2021-04-20 22:06:05	Salvador Mendez

CXD-2647 (Events Download April – Oct 2021) at lines 8005, 8083, 10435, 11341, 11367, 11372, 11681.

Yet, counsel’s letter and Peloton’s Third Supplemental Responses state that this data is not included and that Peloton does not have access to the Warehouse App.¹² CXF-0026-CXF-0029 (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories) at 4-7; CXF-0138-CXF-0140 (Letter from Little dated July 17, 2025).

¹² This is not just a mistake. The undersigned advised counsel for Peloton of all of these facts, multiple times.

Further, a review of the data entries prepared by counsel for the 6.7% of the containers at issue that he provided indicates that the vast majority of the data is in fact completely incorrect and misleading. Of the 498 lines where delivery dates were actually entered, 255 of these are incorrect. *See* RX3-RX6 (Tanner Second Decl.)

For example, on the 8th line down is container BEAU5262910¹³, which counsel states was delivered on June 19, 2021, and empty notified on November 16, 2021, but the empty was not returned until February 17, 2022.

Similarly, container APHU7263406 (4 lines down), which counsel says this was delivered June 26, 2021, and also empty notified on November 16, 2021, but the empty not returned until February 17, 2022.

For containers CAIU9393322 and TCLU5171642 (many lines down), counsel says these were delivered June 26, 2021, and empty notified on November 16, 2021 – but empty not returned until February 17, 2022.

Yet, for all of these containers, the June 2021 delivery dates were not the dates that the containers were delivered to Peloton’s facility, but rather to JCT’s yard because Peloton’s facility (Perris) had no capacity to receive them. Each of these containers was in fact delivered in February, 2022 – well after the date that counsel indicates that Peloton notified that they were empty. The correspondence relating to these containers makes this clear. On February 11, 2022, JCT contacted “MD3PL”, which is Peloton’s warehouse at Perris to advise as to the containers listed above to be delivered on February 14, 2022. RX197 (email regarding containers February 2022). The

¹³ It is noted that, just like with Exhibit “A” to the Amended Complaint, also created by counsel, there is no rhyme or reason whatsoever to the shipments listed in the Appendix. As such, it is impossible to identify the specific line number of the reference container. These examples just happen to be some of the first ones listed.

containers were then delivered and on February 15, 2022, MD3PL (Peloton) advised that they were empty and ready to be picked up. RX193 (Email regarding containers February 2022).

Yet, according to counsel, Peloton provided empty notifications for these containers months before they were actually delivered. There are countless examples, but it is not necessary to go through them all. Flexport refers to the spreadsheet it created from counsel's Appendix 1 and, cross-referenced same with the data from the Events Downloads and spreadsheets it produced, provides the actual data and how many days off counsel is. But the information provided by counsel is not just a mistake – it is intentional. Counsel is attempting to show that, for these containers, there was considerable time between empty notify and pickup date. CXF-0032-CXF-0052 (Peloton's Third Suppl. Responses to Flexport's Interrogatories App. 1).

What is very interesting is that this email – between JCT and Peloton's warehouse was **not** included in Peloton's document production. Rather, it was produced by Flexport. To be clear, Peloton expends pages after pages arguing that Flexport did not produce the underlying communications between it and its truckers – all the while failing to include **any** correspondence at all between Peloton and its warehouse providers, or between the warehouses and the truckers.

As such, Peloton is in no position to either demand that Flexport produce information that Peloton should have had to initiate this suit, or to legitimately claim that Peloton does not have this information readily available.

To make matters even worse, although Peloton's Supplemental Appendix 1, produced (and prepared) by counsel in "compliance" with the Presiding Officer's Order is not admissible evidence, and is completely inaccurate, it is nevertheless enlightening, not to mention a clear admission against interest. The spreadsheet prepared by counsel provides a column for the days between delivery and the date Peloton provided notification that the container was empty.

Although Flexport disputes the accuracy of the data, it nevertheless reveals that, by its own admission, Peloton held onto these **496** containers for a total of **9,570 days**. This is the equivalent of **26.2 years!** And that is only for the 496 containers that counsel identifies.

That is, during this time of severe supply chain issues, including congestion and shortages of containers, truckers, chassis and warehouse space, Peloton – all by itself – depleted the supply chain of containers and chassis for **at least** the equivalent amount of **26.2 years**. And that is just the time that Peloton kept these 496 containers at its facilities. This does not include the thousands of other containers at issue, including the thousands which were held prior to the 3-year statute of limitation period.

The point is that Peloton was a significant contributor to the very supply chain issues it now complains of – not just with respect to the subject shipments, but to the entire industry itself. Thus, at a time when there were chassis shortages across the country, Peloton held onto several decades' worth of time the chassis and containers could be used – and that is only outside of the port. Now it seeks recovery of \$33 million in D&D charges, claiming that the assessment of same was not designed to encourage the movement of the containers and to promote freight fluidity?

Peloton is absolutely correct with one contention – no amount of D&D charges would have incentivized Peloton to return the containers before the end of free time or to clear space at its facility instead of allowing containers to remain at the ports. But this is not due to lack of appointments or any act or inaction of Flexport or the truckers. Peloton simply did not care. Peloton did not care that it was keeping the container and chassis out of the supply chain during this shortage. Peloton did not care that it was in fact causing the issues it now complains of and was actually significantly contributing to the problem. Peloton did not care at all that it was being assessed D&D charges. It never made any complaint to Flexport regarding same and in fact

repeatedly advised Flexport that it had no space to receive new containers. It was only years after the fact that they made any complaint at all.

Without needing to beat this dead horse further into the ground, it must also be pointed out that Peloton provided zero evidence as to any availability of appointments to return the containers. The recent Commission decisions not only provide that this evidence – any evidence – is essential to any claim for reparations, but in fact provides a simple road map to the bare minimum of evidence needed – proof of unavailability, such as the data provided by BlueCargo. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. S 41102(c)*, 2022 WL 3093193, at *27-30 (explaining that the complainant provided evidence of a lack of appointment availability by using the Blue Cargo website and holding that based on this data the Complainant proved it was unreasonably charged detention for fourteen days when there is evidence that sufficient appointments were not available).

Yet, Peloton does not provide **any** such data at all! Not a single BlueCargo screenshot. This is particularly telling since Peloton’s own expert testified as to the reliability of BlueCargo’s data! Mr. Roche also included referenced BlueCargo in his report:

Dispute resolution when there are no return appointments available is one of the **easier detention disputes to resolve**, particularly after having been called out in the Interpretive Rule. This is especially true with the assistance of companies like **BlueCargo.io** that scrape ocean terminal websites in order to record and report on what appointments, if any, were available for any given shift listed at those terminals, by ocean carrier location, and container size, or whether single, dual, or both kinds of moves were accepted. **Mohawk is a subscriber to BlueCargo.io** for just that reason to be able to offer best proof to have demurrage charges mitigated or waived.

CXD-0017-CXD-0018 (Roche Rpt.) at 17-18, ¶ 33 (emphasis added).

But Mr. Roche is wrong in his legal conclusion that Flexport should present this data. It is not Flexport’s burden to show that appointments were available – it is Peloton’s burden to show

that appointments were NOT available. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. S 41102(c)*, 2022 WL 3093193, at *21 (“the party alleging a violation bears the burden of proving their allegations by a preponderance of the evidence”); *see also id.* at *28 (reiterating the party alleging a violation has the burden of proof).

To be clear, it is Flexport’s position that BlueCargo data is completely unreliable and in fact most NVOCCs and VOCCs do not give the screenshots it scrapes any credence. Indeed, the Commission has noted that BlueCargo’s data is unreliable. *Id.* at *27. However, as the Commission has held, BlueCargo data, while unreliable, is still some form evidence. Here, on the other hand, Peloton offers zero evidence, despite clearly having access to the data.

In fact, multiple Peloton witnesses testified that Peloton utilized BlueCargo to assist in the audit of the freight and detention and demurrage charges. *See* CXB-1518-CXB-1519 (Peloton 143(b)(6) Dep.) at 31:21 – 32:6; CXB-2112-CXB-2113 (Beyar Dep.) at 65:25 – 66:5; CXB-2783-CXB-2784 (Baitman Dep.) at 175:17 – 176:13.

Indeed, Peloton even stated in its Proposed Findings of Fact that the information from BlueCargo was reviewed in auditing Flexport’s invoices. *See* CPFF244.

Which begs the question – why did Peloton not produce a single screenshot? The answer is the same reason why Peloton never produced (and deliberately concealed) the audit documents – because the data likely completely disproves Peloton’s entire frivolous claim.

Now, Peloton has devoted a great deal of its brief (8 pages) alleging discovery violations, and how Flexport’s purported failures to comply with the Presiding Officer’s Orders has prevented it from providing the proof it needed.

This is not only baseless, but quite revealing of the fact, as Flexport has consistently maintained, that Peloton had no good faith basis to bring the claims in the first place.

Which brings us back to the “audit”.

d. Peloton has deliberately concealed all evidence of its audit – indicating that there is in fact, no evidence to support their claims.

Even before Peloton filed its Initial Complaint, Flexport had repeatedly sought from Peloton (and its counsel) any information concerning its claims against Flexport. The reason was that Flexport had provided exceptional service during a tumultuous time for the entire world during Covid, but also compounded by Peloton’s own disorganization and wild swings in their manufacturing and sales. Flexport also wanted to avoid needless litigation and were willing to discuss the source of dissatisfaction that Flexport heard for the first time four years later. With supply chain disruptions increasing, Peloton actually increased production and importation of its bikes to meet the demand created by the Pandemic – and to reap the profit from it. And Flexport delivered – literally without complaint and indeed, high praise, from Peloton. Flexport bent over backwards to facilitate the movement of Peloton’s shipments and did everything it could to find solutions for Peloton.

Yet, Peloton, and its counsel, have continuously refused to provide – even in their Brief! – any specific details as to any of Flexport’s “failures” or “violations” for any of the over 1,500 charges at issue. Peloton’s and its counsel’s position was that since the movements were “store door”, then Peloton should not have been responsible for any of the demurrage or detention charges, despite the fact that Peloton reviewed each invoice and paid same.

Then, in the course of discovery, Flexport uncovered that Peloton’s counsel had deliberately concealed the very information Flexport has been seeking in favor of needless protracted litigation in a calculated effort to make this frivolous litigation as expensive and time-

consuming as possible. This argument was fully briefed in Flexport’s Motion for Sanctions (Doc. No. 63), which are expressly incorporated herein.¹⁴

In the Order issued on June 30, 2025, the Presiding Officer:

At the same time, the record makes clear that Peloton has withheld the audit document under a claim of privilege for which Flexport is entitled to verify that the claim of privilege has been properly invoked. For this reason, Peloton is **ORDERED within 15** days of the date of this order to provide Flexport with a privilege log with respect to the audit document withheld under a claim of privilege that contains the following information: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

Order on Pending Motions and Complainant’s Unilateral Status Report and Amending Scheduling Order, Doc. No. 72 at 5.

Yet, in “compliance” with the Order, Peloton provided only the two entries as set forth above. RX242 (Peloton’s Privilege Log dated July 15, 2025).

Peloton – or rather more accurately its counsel – asserts that this audit, and all documents derived therefrom, from every point in time, and which goes to the very heart of its case – are somehow privileged. As Peloton testified, the Google Suite documents contained each and every detention and demurrage invoice which was audited, along with the notes from Mr. Beyar as to the causes of each. CXB-1563-CXB-1564 (Peloton 143(b)(6) Dep.) at 76:10 – 77:10.¹⁵ Yet, somehow this information is “privileged”?

Notably, no work product privilege was asserted. It is also curious that Steven Rhee is not

¹⁴ Although the motion was denied, Flexport moves for reconsideration of same, given the failure of Peloton and its counsels to comply with the Presiding Officer’s Order, as set forth herein.

¹⁵ It is noted that Peloton did not assert that this audit and its related records are work product, but only that this unknown collection of documents is somehow a privileged communication.

mentioned in the log – despite David Beyar specifically mentioning that Mr. Rhee was the only other person working on the audit with him and that he and Mr. Rhee had a shared Google spreadsheet which stored the information gathered from the audit, which was stored on Peloton’s system. CXB-2110-CXB-2111, CXB-2136-CXB-2138 (Beyar Dep.) at 63:20 – 64:9, 89:24 – 91:3.

Then, in support of the privilege log, and in “compliance” with the Order, Peloton also submitted the Affidavit of Angad Gadhok. Mr. Gadhok’s Affidavit consists entirely of two sentences:

On September 7, 2023, I sent an email, with attachment, to Peloton in-house counsel at the time....The purpose of the Email was to request legal advice on laws and regulations related to challenging and recouping detention and demurrage charges, and included information I believed was necessary to provide to legal counsel for this purpose. The Email attachment was compiled to aid in seeking legal advice for this purpose.”

CXF-0053 (Gadhok Aff.) at ¶¶ 3-4.

Curiously, Mr. Gadhok – who had no involvement at all with the audit – is sending an email to in-house counsel in September, 2023, with “an attachment”. Mr. Gadhok does not provide a description of what the attachment is, other than that it was “compiled” to aid in seeking legal advice.¹⁶

Yet, when questioned as to what knowledge he has regarding Peloton’s claims, Mr. Gadhok testified “perhaps around procurement-related activities during that time” which he defined as overseeing “supporting our operations team in the space of logistics and distribution procurement.” CXB-2361 (Gadhok Dep.) at 15:15-25.

When asked when he had any discussions regarding excessive demurrage and detention assessment by Flexport, he “could not remember the specifics” but that they took place from 2022

¹⁶ That document is not privileged. Possibly work product, though this is undermined by Mr. Beyar’s testimony. But certainly not privileged.

through 2024. CXB-2462-CXB-2464 (Gadhok Dep.) at 116:19 – 118:20.

In fact, Mr. Gadhok testified that he was brought into meetings (with only Mr. Baitman, Mr. Beyar, and Martina Scholz) “to be informed, you know, the ops team was noticing a lot of spending in this area and that we were being tasked to figure out ways to sort of alleviate that burden.” CBX-2468-CBX2469 (Gadhok Dep.) at 122:14 – 123:21. Mr. Gadhok then testified under oath, that “the extent of his memory” was that he was “brought into these discussions (with only Mr. Baitman, Mr. Beyar, and Martina Scholz) and that there was detention and demurrage. CBX-2470 (Gadhok Dep.) at 124:2-15. Mr. Gadhok made no mention of any audit, nor any contact with counsel. So, what, exactly, was the “attachment”? Mr. Gadhok does not say. Curiously, however, Peloton’s counsel states in the Proposed Findings of Fact, that the attachment was, in fact, “the spreadsheet prepared by Beyar”. CPFF245.

But then where are all the other documents and emails relating to the audit and this Google Suite document, which multiple Peloton personnel testified was a “living document”, being added to well into 2024? Martina Majstorovic (Peloton’s corporate representative who verified both complaints and all interrogatory responses) testified that Mr. Beyar had “a lot” of emails related to his audit findings. CXB-1923-CXB-1924 (Majstorovic Dep.) at 85:20 – 86:4. Yet none of these documents were included in the document production nor identified in the privilege log.

Despite the questionable supplemental privilege log, and as set forth in the Motion for Sanctions (Doc. No. 63), it is far from clear that any attorney was involved with the production of these documents at all or, if so, when they became involved.

It is undisputed from the testimony that David Baitman was in charge of the audit. CXB-2089 (Beyar Dep.) at 42:8-10; CXB-2780-CXB-2781, CXB-2837 (Baitman Dep.) at 172:25 – 173:12, 229:6-12. It is also undisputed that David Beyar was the primary employee who conducted

the audit at the direction of Mr. Baitman. *Id.*; *see also* CXB-2088 (Beyar Dep.) at 41:15-21. Both Mr. Baitman and Mr. Beyar testified to these facts. *Id.* The question, however, is when counsels became involved – internal and/or external.

Mr. Beyar was undisputably the primary person conducting the audit. CXB-2088 (Beyar Dep.) at 41:15-21. He testified clearly (despite his testimony being replete with evasive responses or non-responsive answers) that when he compiled the Google Suite documents it was **not** upon the instructions of attorneys at Peloton, either internal or external. CXB-2212 (Beyar Dep.) at 165:2-25. Rather, Mr. Beyar made clear that he was reporting to Mr. Baitman. CXB-2089 (Beyar Dep.) at 42:8-18.

Mr. Beyar further testified that, when he was tasked to compile the Google Suite document, there was no mention whatsoever of any litigation against Flexport. CXB-2213 (Beyar Dep.) at 166:1-4.

Mr. Beyar further testified that the Google Suite document – which he prepared prior to any mention of litigation and not on the instructions of counsel, contained all of his notes for the shipments. CXB-2213-CXB-2215 (Beyar Dep.) at 166:15 – 168:11.

Mr. Beyar also testified that the document was a “living document” and, as such, has been in production since the inception of the audit in September 2023 through at least the filing of the suit. CXB-2245 (Beyar Dep.) at 198:3-9. Mr. Beyar also made it clear that Peloton engaged Flexport in communications regarding Peloton’s audit findings in **January or February 2024**. CXB-2204 (Beyar Dep.) at 157:8-25.

David Baitman corroborated Mr. Beyar’s testimony. He testified unequivocally as follows:

1. That he was in charge of the audit:

It was completed, but I’m the one who started them auditing it. Like, I’m the one that directed the team to start the audit. I’m the one who directed

the team what things to look for in the audit. I'm the one who sat with the team their first couple of audits to say, "Show me how you're doing this." And we agreed to what the process was. CXB-2837 (Baitman Dep.) at 229:6-12.

2. That, after these discussions with Flexport (in January or February 2024) were unsuccessful, he suggested that Peloton discuss with in-house counsel the findings of the audit. CXB-2794-CXB-2797, CXB-2837-CXB-2838, CXB-2880-CXB-2881 (Baitman Dep.) at 186:12 – 189:1, 229:6 – 230:13, 272:10 – 273:1.

But then Peloton's corporate representative, Martina Majstorovic, testified otherwise. Ms. Majstorovic's responses were carefully orchestrated, deflective and non-responsive. Her testimony directly contradicted the testimony of Mr. Baitman and Mr. Beyar, both with respect to the directions on how to conduct the audit, the results, and when Peloton first contacted counsel. These facts are more fully set forth in the Motion for Sanctions. What is important here, however is that Ms. Majstorovic testified that she and Mr. Baitman met with outside counsel in October 2023. CXB-1579 (Peloton 143(b)(6) Dep.) at 92:1-15. She then testified that Mr. Beyar was in contact with counsel regarding the audit between September and October 2023 and **then into 2024**. CXB-1576-CXB-1577 (Peloton 143(b)(6) Dep.) at 89:11 – 90:20. She then testified that the audit was conducted after consulting counsel, done in coordination with counsel and then, afterwards, Peloton produced a "more extensive audit". CXB-1611-CXB-1612 (Peloton 143(b)(6) Dep.) at 124:7 – 125:1; CXB-1607-CXB-1608 (Peloton 143(b)(6) Dep.) at 120:11 – 121:2; 124:12 - 125:1.

Finally she testified that the spreadsheet from the audit was a "work in progress" and was "produced in its extent with all the audit information post-discussions with counsel beginning in September **through the latter half of 2023 and onwards**." CXB-1612 (Peloton 143(b)(6) Dep.) at 125:7-18. Ultimately – after being asked several times – she testified that all of the drafts of the documents (developed prior to retention of counsel) were "rolled up into the audit sheet" and

deliberately not produced. CXB-1614-CXB-1617 (Peloton 143(b)(6) Dep.) at 127:22 – 130:17.

So, regardless of the confusions / misdirection regarding the audit, there is clear consensus that the audit continued into 2024, included preparation of the spreadsheet prepared by Mr. Beyar. Indeed, Mr. Baitman testified that, at the time he was fired from Peloton – in May 2024 – the audit was had only been 10% completed. CXB-2837-CXB-2838 (Baitman Dep.) at 229:15 – 230:1.

As such, the privilege log which references a single communication on September 23, 2023 with a single spreadsheet attached cannot possibly reflect all the documents relating to the audit – which Peloton has admitted includes multiple versions of the spreadsheet, and a multitude of emails.

Again, we refer to the Motion for Sanctions regarding counsel's responses to interrogatories (which calculatingly refer solely to a different audit conducted in 2022 without any mention of the subject audit) and Peloton's responses to requests for production which specifically sought all spreadsheets relating to the invoices. *See* Flexport's Motion for Sanctions, Doc. No. 63.

Instead, after being Ordered to identify the responsive documents and the basis for any privilege asserted relating thereto, Peloton's counsel merely provided a supplement for a single document dated September 7, 2023. This is a blatant violation of the Order and further highlights that these claims were fabricated and prepared by Holland & Knight, not Peloton.

Ms. Majstorovic, on behalf of Peloton, specifically testified that, beginning in October 2023 and continuing to the present day, Holland & Knight were directly involved in the audit – that the results of its were shared with Holland & Knight and the attorneys there provided additional details which should be included in the audit. CXB-1581-CXB-1582 (Peloton 143(b)(6) Dep.) at 94:5 – 95:4. During this deposition, counsel was particular concerned with the timing of the audit. In fact, after the questions regarding the audit were posed to Martina, a break was taken.

Following the break, Ms. Majstorovic was asked if she had spoken to counsel during the break. She admitted that she had – regarding the several questions being posed as to the timing of the audit. CXB-1580 (Peloton 143(b)(6) Dep.) at 93:9-24.

Her testimony also revealed that Ms. Majstorovic did not make any independent assessment as to the validity of the facts contained in the Complaint. In fact, she refused to answer this simple question – 4 times – only saying, repeatedly “to the best of my knowledge, I worked with my counsel to verify this complaint.” CXB-1991-CXB-1993 (Majstorovic Dep.) at 153:2 – 155:3. Ms. Majstorovic also did not make an independent assessment as to the interrogatory responses which merely referenced the documents production – specifically whether the information she states was in the 22,000 documents was, in fact, contained therein. CXB-1949-CXB-1962 (Majstorovic Dep.) at 111:24 – 124:14.

Holland & Knight prepared Exhibit “A” to the Amended Complaint as well as all of the responses to interrogatories, as they themselves have readily admitted. This information was then sent to Peloton’s “experts”, and their analyses were based on same. As such, all of the expert “opinions” are based on nothing more than the work product of counsel (which cannot be considered evidence) who have directed the entire litigation.

These actions clearly warrant an adverse inference that whatever is or was contained in the audit documents would not be favorable to Peloton’s position. There is absolutely no other logical reason to explain the deliberate actions of Peloton and its counsel.

In short, Peloton presents no evidence to support its claims and has intentionally concealed documents which go to the very heart of its claims – all the while complaining that all of the information necessary for Peloton to provide its claims is in Flexport’s possession and has not been produced. Peloton fails to understand that the reason such documents were not produced is because

they do not exist – because there is no support for this frivolous claim.

IV. DISCOVERY ISSUES

Since Peloton has absolutely no evidence in possession to support its claims (and has deliberately concealed evidence which undoubtedly undermines its claims), it has concocted discovery issues that are absolutely baseless – while all along flouting the Rules of discovery and disobeying multiple orders of the Presiding Officers.

In its Brief, Peloton moves for sanctions against Flexport and makes the following claims:

1. Flexport failed to produce documents;
2. Intimidating a witness; and
3. Scheduling and failing to appear for the deposition of a Peloton witness.

Each of these is a fabrication to distract the Presiding Officer from Peloton and its counsel's actions throughout this matter – including filing a frivolous pleading, deliberately concealing the audit and all documents relating thereto, coaching its witnesses and experts, intentionally not providing discovery, countless requests for “meet and confers” made the night before the deadline or the day of, multiple blatant misrepresentations to the Commission, producing a new expert after the deadline for same, sending subpoenas past the discovery cut-off that also sought information which the Presiding Officer had ruled were off-limits¹⁷, maintaining a claim for a cease and desist order that had no basis, and ignoring – over and over – the orders from the Presiding Officer regarding discovery.

¹⁷ Peloton served subpoenas on JCT Transportation, ZIM, and an unknown number of other ocean carriers seeking not only all communications between these entities and Flexport well beyond the time frame allowed, but also the underlying invoices and contracts, which the Presiding Officer expressly held were not discoverable. JCT responded and ZIM filed a motion to quash – which was granted. The undersigned requested multiple times for copies of the subpoenas, and whether Peloton would advise the entities that they were not to respond to same. The undersigned only received JCT's response when it was included in Peloton's Brief and only received ZIM's response as set forth in its Motion to Quash.

Reluctantly, we must address each of Peloton's baseless discovery claims before addressing Peloton's own discovery failures.

a. Flexport has not withheld a single discoverable document.

In response to this frivolous fishing expedition, Flexport has produced over 33,000 documents, consisting of 106,966 pages – solely of correspondence and attachments. In addition, Flexport has produced each and every shipment record, including the NRAs, quotation, invoices, bills of lading and delivery orders, as well as its applicable Rules tariffs in effect for the applicable time period at issue. The total number of pages was over 10,000. Each and every shipment was covered. Additionally, Flexport produced three (3) spreadsheets downloaded from “Core” providing information for each shipment and updates regarding same, collectively the “Events Downloads” containing a total of **275,626** line items of data. CXD-2646-CXD-2647, CXD-2735 (Event Downloads). Flexport produced three (3) additional spreadsheets containing the information requested by Peloton in discovery. The “Peloton Aggregate Shipment Details” spreadsheet contained 7346 lines of data identifying each FLEX-ID (invoice), container, arrival date, pickup date, empty return date, demurrage charge and detention charge. CXE-0001 (Aggregate Shipment Details). The “Peloton Shipments Motor Carriers” spreadsheet contained 7344 lines of data identifying the date of delivery, first and last free days, and empty return date. RX241 (Peloton Shipment Motor Carriers). The “Peloton Shipment Details” spreadsheet contained 1,857 lines of data which identified the FLEX-ID, containers within that FLEX-ID, master bill of lading, house bill of lading, container type and size, port of loading, vessel name, port of discharge, arrival date, demurrage and detention. RX240 (Peloton Shipment Details).

In total, Flexport produced hundreds of thousands of pages of documents and over 16 GBs of data. Yet, this was not enough for Peloton – despite Peloton (a) having all the shipment data in

its ERP system; (b) having access (to this day) to Flexport's Core platform; and (c) having conducted an audit of each and every charge at issue.

First, Peloton argues that Flexport's production only included documents from October 2021 onward. Brief at 70. Peloton goes on to state that this failure was the result of counsel. *Id.* Yet, this is simply not true. As the record reflects, each party served discovery requests which were due on December 13, 2024. Flexport expended considerable time and expense to comply by the deadline set forth in Peloton's requests. And it did, producing the vast majority of its production by the deadline. In contrast, Peloton unilaterally decided that the deadline for document production set forth in the Scheduling Order would be the date it needed to produce ANY documents. This was decided by Peloton without any discussion with Flexport. Peloton then asked the Presiding Officer to extend the deadline for production – a mere day before the deadline, and knowing full well that Flexport was working furiously to produce the records on the date set forth in each of the parties' respective requests for production. *See* Peloton's Motion for Extension of the Scheduling Order, Doc. No. 28.

Notwithstanding the foregoing, Peloton's claim above is just false. The only document which was produced reflecting October 2021 onward was the Events Download – which was promptly supplemented afterwards. And yes, this was the fault of the undersigned, not Flexport. And in good faith, the Events Download was supplemented immediately when it was realized that it was incomplete. That is all. Flexport produced every single "shipping document" on time. Flexport's production also included every communication for each of the shipments.¹⁸

¹⁸ The only communications which were not produced were those for which the underlying contracts and rates were discussed and for shipments prior to May 2021, as these were time-barred. Peloton disagreed of course, maintaining that the time bar did not apply since it was seeking a cease-and-desist order. *See* Peloton's Response to Flexport's Motion for Protective Order, Doc. No. 46. However, when it was pointed out that Flexport had ceased providing NVOCC services to Peloton in August 2022, the Presiding Officer strongly suggested to Peloton to reconsider this claim. Thereafter, the Presiding Officer held that these documents need not be produced. However, Flexport was ordered to provide the documents relating to shipments which had occurred prior to May 2021, but which were

As such, Peloton’s claim that Flexport had “failed to upload all the files” is an outright misrepresentation.

Peloton then argues that Flexport failed to produce all communications with contracted carriers, and internal communications regarding the shipments and training procedures. Peloton argues that Flexport then only produced a “mere *seven* emails”, some shipment data, duplicative invoices, duplicative D&D tariffs, and training videos. Brief at 83.

What Peloton fails to appreciate is that the reason why Flexport did not produce extensive supplemental documents is because it produced nearly everything with its initial production.

Next, Peloton argues that Flexport has not produced “comprehensive” delivery orders, NVOCC NRAs, or bills of lading. Brief at 71. The undersigned has no idea what a “comprehensive” delivery order is, but each and every one of these documents was produced.¹⁹

Moreover – and this needs to be made clear – each and every single one of these documents was not only already provided to Peloton, but were available at all times to be downloaded from the Core platform also by Peloton, even to this day, as Peloton is still active on Core as it continues to use Flexport for customs brokerage services. CXA-0242 (Tanner Decl.) at 2, ¶¶ 10-12. Indeed, David Beyar readily admitted that he reviewed these very documents from the Core platform when he conducted his audit. CXB-2161-CXB-2164 (Beyar Dep.) at 114:4 – 117:9.

Peloton then argues that Flexport has produced “*de minimis*” emails with its ocean carries – only 17. Brief at 83. First, this is inaccurate, as the production reflects hundreds of communications with ocean carriers. But more importantly, this was simply not how Flexport

invoiced detention or demurrage afterwards. As such, Flexport supplemented the Events Download, as well as its document production, to account for these shipments – all 7 of them.

¹⁹ So as not to overwhelm the Commission with a massive amount of documents, and because it is not necessary, Flexport is not including each and every house bill of lading, NRA, invoice and delivery order produced in this litigation. The undersigned declares that all of the documents were produced to Peloton. If the production of the documents is necessary, Flexport respectfully requests that it be afforded the ability to provide a supplement to the Appendix.

communicated with ocean carriers. As the testimony made clear, the truckers were in communication with the ocean carriers regarding extension of free time, appointments, and delays and the vast majority of any communication between all of these entities was made via EDI and is reflected in the Events Downloads. *See* CXB-0161-CXB-0162 (Flexport 143(b)(6) Dep.) at 161:8 – 162:5); CXA-0241-CXA-0244 (Tanner Decl.); CXB-3601, CXB-3613-CXB-3614 (Kardian Dep.) at 157:7-17, 169:13 – 170:12

Peloton then argues that Flexport only produced “*de minimis*” emails with its contracted truckers. Again, while it is unclear what “*de minimis*” means, Flexport in fact produced hundreds of emails between it and the truckers - and Peloton was copied on most of them. Further, as the testimony made clear the communications between Flexport and the truckers primarily occurred via EDI, as reflected in the Events Downloads. *See* CXB-0161-CXB-0162 (Flexport 143(b)(6) Dep.) at 161:8 – 162:5); CXA-0241-CXA-0244 (Tanner Decl.); CXB-3601, CXB-3613-CXB-3614 (Kardian Dep.) at 157:7-17, 169:13 – 170:12.

Indeed, this attempt at misdirection is highlighted by Peloton’s next contention – that Flexport has not produced any data or communication from the “Transmission Platform”. In support, Peloton refers to the illegal subpoena it issued to JCT transportation.²⁰ In its Response, JCT specifically states that nearly all of its communications with Flexport were through “Transmission” – which is part of the Core Platform. CXF-0063 (JCT Response to Peloton’s Subpoena). To clarify, the “Transmission platform” is not a separate application or program – all

²⁰ The subpoena was served after the close of written discovery. Further, the subpoena sought all documents between Flexport and JCT – including invoices and contracts – in direct contravention of the Presiding Officer’s Order. Notably, Peloton also served a subpoena on an unspecified number of ocean carriers as well. One of which – ZIM – filed a motion to quash, which was granted. *See* Order Granting Motion to Quash, Doc. No. 57.

of the “Transmission” data is reflected in the Events Downloads from Core.²¹ Thus, by Peloton’s own illegal-obtained evidence, there would not be a significant number of emails at all!

The same is true for Peloton’s next contention – that Flexport failed to produce data from the “Warehouse platform”. This is again inaccurate and misleading since: (1) Peloton only used the Warehouse “App” for a handful of shipments; (2) Peloton could entered any information it wanted into the “App” – so the veracity of such information is “*de minimis*” at best; (3) Peloton at all times has access to the Warehouse “App”; and (4) the data in the Warehouse App is reflected in Core – which Peloton also has access to. CXA-0242 (Tanner Decl.) at 2, ¶¶ 10-13.

Further, and most importantly, the information which Peloton claims is “missing” that should be in the Warehouse App data is the date that Peloton notified the truckers that each container was empty. Brief at 31-32. In other words – information which Peloton has admitted it not only has, but which was reviewed in preparation of its audit!²² CXB-2689, CXB-2785-CXB-2786 (Baitman Dep.) at 81:10-25; 177:12 – 178:1.

Peloton then argues that Flexport did not produce internal communications regarding D&D charges. However, Flexport in fact produced tens of thousands of pages of internal communications. But Peloton is not satisfied, and points to Nick Peckham’s testimony wherein he stated that Core contained internal notes of Flexport on the shipments – but the Events Downloads do not reflect this. Brief at 72. Yet, this is completely false – the Events Downloads contains notes from many different sources, thousands of which are from Flexport – including **16,789** entries containing internal notes by Mr. Peckham alone.²³

²¹ This was explained to counsel for Peloton – multiple times. But, not surprisingly, was ignored.

²² Again, all of this was conveyed to Peloton’s counsel, multiple times, and ignored.

²³ The Events Downloads have been provided in their native format and each column able to be sorted. If the columns are sorted by author and Nick Peckham selected, the number of entries can be confirmed.

Notably, Peloton did not ask a single question of Flexport’s corporate representative regarding the Events Downloads, despite Mr. Tanner having been designated for just such a topic.²⁴ Instead, Peloton only asked a handful of questions regarding the Events Downloads – directed to Mr. Peckham, who had never seen it before since he was no longer employed by Flexport and had nothing to do with the document production; Reid Breck, who also testified he had never seen the document before since he was not involved in the documents production; and Gary Kardian, who was neither an employee of Flexport nor had any involvement with the production. So, instead of asking these questions of Flexport’s corporate representative in depositions, Peloton simply goes ahead and argues what the Events Downloads reveal and don’t reveal.²⁵

Finally, Peloton argues that Flexport failed to produce “trainings and repositories of documents used to train, instruct, and provide guidance to Flexport employees on D&D and FMC compliance.” Brief at 72. Notably, Peloton ignores its own evidence. *See* CXE-0261-CXE-0263 (Training Videos Produced by Flexport); CXB-0171 (Flexport 143(b)(6) Dep.) at 171:7-24. But it is more than just ignorance – it is deliberate misdirection, as Flexport’s witnesses actually testified

²⁴ To clarify, as Flexport’s corporate representative testified, the details of the shipments as inputted from various sources, including Flexport, Peloton, the motor carriers and the ocean carriers, into Flexport’s system which it calls “Core”. The data from Core was downloaded into the spreadsheets referred to herein as the “Events Downloads.” Ryan Tanner, who also testified as Flexport’s corporate representative, was the person primarily overseeing Flexport’s documents, including the download from Core. The Events Downloads were prepared solely in response to the discovery requests from Peloton in this litigation. As such, while Mr. Reid and Mr. Peckham clearly were familiar with “Core”, neither of them were involved with the document production and have ever seen the Events Downloads. Mr. Peckham was not even employed at Flexport by the time the Events Downloads was produced. Mr. Kardian was never employed by Flexport and, despite the insinuations by Peloton’s counsel, never viewed or had access to Core. Rather, he reviewed the Events Downloads in the preparation of his Expert Report.

²⁵ This is a particularly important point as will be addressed below since Peloton’s entire argument rests on the belatedly-filed “expert” report of Mr. Smith and his own uninformed interpretation of the Events Downloads.

that there were not many “training” documents at all, and that Flexport’s employees were trained “on the job”. CXB-0519-CXB-0523, CXB-0653-CXB-0654 (Peckham Dep.) at 21:12 – 25:6; 155:8 – 156:9.²⁶

b. Richard Roche should never have been designated as an expert witness.

Peloton next argues that counsels for Flexport intimidated the expert witness, Richard Roche. Flexport is not going to dignify these accusations and refers instead to the deposition transcript. CXB-2975-CXB-3343 (Roche Dep.). As can be seen by only reading the first 33 pages, Peloton’s counsel obstructed the deposition and engaged in wholly unethical and unprofessional behavior. Then, after objecting to the NCBFAA letter and unilaterally designating same (written by Flexport to a third party) as “attorney’s eyes only”, counsel for Peloton introduced the NCBFAA letter as an exhibit on re-direct examination. CXB-3290 (Roche Dep.) at 316:5-19; CXC3221-CXC3226 (Ex. P1 to Roche Dep.). The specific contentions are addressed in the response to Peloton’s Proposed Findings of Fact.

A few points are worth noting, however. Mr. Roche is not a “volunteer” with the NCBFAA – he is, as Peloton states, a Member of the Board, and NVOCC subcommittee chairman. CPFF288. Moreover, this sub-committee held monthly meetings – which were attended by Ryan Tanner from Flexport! And at these closed-door private meetings, the members (including Flexport) discussed issues pertinent to the industry – including billing practices, D&D, supply chain issues and the impacts of OSRA 2022. Finally, Mr. Roche is an executive for a competitor of Flexport, albeit a much smaller one. Mr. Roche, in his capacity working for a tiny NVOCC, makes sweeping conclusory statements regarding Flexport’s legal obligations, challenging all of their business

²⁶ To be clear, at no point did Mr. Peckham ever testify as to written manuals or trainings relating to D&D and FMC compliance. He was not even asked the question. This is just an example where counsel takes testimony regarding operations training manuals and argues that these should reveal trainings on D&D and FMC compliance.

practices. Mr. Roche then blasts the professional expert opinions of Gary Kardian, with complete disrespect for Mr. Kardian's knowledge, dedication and service to the Commission and the industry. Mr. Roche's "expert" report is nothing but an advertisement for Mohawk Logistics, to which he compares Flexport five (5) times. All of the comparisons in the Report are not between Flexport and the industry, but rather with this a smaller competitor which serves a limited market.

In short, Mr. Roche was not "intimidated", as he readily admitted. He should never have been designated to testify against a member company in the first place due to the inherent conflict of interests.

c. Peloton's discovery violations.

The history of the abuse of the discovery procedures by Peloton and its counsel has been well-documented throughout the course of this litigation. As previously argued herein, Flexport has been asking, again and again, for Peloton to provide it with some idea as to what Peloton claims Flexport did wrong. But Peloton refused to provide this information – repeating that these were store door moves and thus there should have not been any D&D assessed at all. (Again – so why did Peloton pay \$33 million in D&D charges if it did not, in fact, agree to pay for same).

After being ordered to amend its complaint, "Peloton" did so, by including Exhibit "A", which it specifically alleged contained all of the detention and demurrage charges which are in dispute. However, Exhibit "A": (a) was not capable of being searched; (b) was put together without any rhyme or reason (it was not organized by reference chronologically, by reference number, amount or otherwise; (c) contained only a column for "D&D" without any delineation between detention and demurrage; and (d) did not provide the date of the invoice – only the month and year.²⁷ CXC-0519-CXC-605 (Exhibit "A" to Peloton's Verified Amended Complaint).

²⁷ Furthermore, it was clear (despite not being able to be searched) that approximately two-thirds of the 3,200 invoices were time-barred. Upon review, many of the invoices which were said to be

Then, in the course of discovery, it was learned that Exhibit “A” was created by counsel for Peloton. Ms. Majstorovic, as corporate representative of Peloton, testified that Exhibit “A” was created as a direct result of an extensive audit conducted by Peloton. CXB-1749-CXB-1752 (Peloton 143(b)(6) Dep.) at 262:25 – 265:18. However, when questioned as to who created Exhibit “A” and how the information therein was gathered and organized, counsel for Peloton claimed that same was protected by the attorney-client privilege and work product doctrine. CXB-1656-CXB-1659 (Peloton 143(b)(6) Dep.) at 169:2 – 172:15. It is surely puzzling how the creation of an Exhibit for a Verified Amended Complaint can be deemed privileged. As such, Flexport was unable to question Peloton’s corporate representative as to the Exhibit attached to its Amended Complaint which listed all of the invoices at issue in the litigation.

Yet, this is not the first “evidence” presented in this case that was produced entirely by Peloton’s counsel. During the deposition of Ms. Majstorovic (in her individual capacity), counsel for Peloton actually testified that “when we provided an answer to an interrogatory, it is a counsel answer.” CXB-1962 (Majstorovic Dep.) at 124:10-12 (emphasis added).

Then, in its First Supplemental Interrogatory Responses, instead of complying with the Presiding Officer’s Order specifically requiring Peloton to identify “references to Bates numbers for documents responsive to the interrogatories.” *See* Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel, Doc. No. at 2. Peloton instead merely referred to its “entire production of documents and expert reports” instead of specifically identifying same as requested. CXF-0009-CXF-0022 (Peloton’s Second Suppl. Responses to Flexport’s Interrogatories).

for D&D were in fact for other charges, including yard and warehouse storage. In fact, Peloton only just admitted that the “D&D” claims listed in Exhibit “A” include **\$3,668,096** in charges for yard and warehouse storage. CXD-1432 (Smith Rpt.) at 3, ¶ 8.

The failures to comply with the Second Order are set forth in the Motion for Sanctions, the arguments of which are expressly incorporated herein. However, as pointed out in the Motion for Sanctions, the interrogatory responses provided were not from Peloton at all, but from counsel, who dropped a footnote on page 5 which stated “The bates log referred to herein was prepared by counsel and references to the bates log are those of counsel.” CXF-0013 (Peloton’s Second Suppl. Responses to Flexport’s Interrogatories) at 5, n.1. And this was exactly the argument raised in Flexport’s Motion to Dismiss – that counsel has directed the entire litigation, instructed Peloton’s corporate representative to refer to the mass document production, and concealed clearly relevant information and documentation. Now, Peloton again refers to a group of thousands of documents prepared and compiled by counsel – not Peloton.

Peloton’s counsel again has provided sworn responses to interrogatories which were prepared by counsel and not reviewed by Peloton.

In its Third Supplemental Responses, Peloton’s counsel again dropped into a footnote the following:

Peloton has previously submitted a Bates log **prepared by counsel** that listed responsive documents by category. Peloton is also submitting with this interrogatory response an additional Bates log **compiled by counsel** that lists documents within the Peloton production that reference the FLEX-IDs and container numbers included in Exhibit A to the Amended Complaint. This log is incorporated by reference into the below interrogatory responses.

CXF-0025 (Peloton’s Third Suppl. Responses to Flexport’s Interrogatories) at 3, n. 9 (emphasis added).

But that is not all. After Peloton failed to comply with two (2) Orders, on June 30, 2025, the Presiding Officer again Ordered Peloton to identify the date upon which Peloton advised that each container was to be returned and how many days each container was at Peloton’s facility before Peloton advised that it could be returned, along with identifying for each the factual bases

as to how the delay could be the result of Flexport's actions or inactions. Order on Pending Motions and Complainant's Unilateral Status Report and Amending Scheduling Order, Doc. No. 72. At 18-19. Yet, in its Supplemental Responses, "Peloton" stated as follows:

Peloton directs Flexport to the attached Appendix 1, which sets forth the dates on which Peloton advised Flexport that containers were available for return based on information currently available. Appendix 1 was assembled **by counsel and is not a business record maintained by Peloton.**

CXF-0026-CXF-0027 (Peloton's Third Suppl. Responses to Flexport's Interrogatories) at 4-5.

Peloton's counsel then proceeded with a long-winded explanation as to why Peloton could not comply with the Order – that Flexport has not produced sufficient discovery to enable Peloton to determine when Peloton provided notification and how many days the containers sat at Peloton's facility after the expiration of free time. *Id.*

Thus, Peloton's entire excuse as to why it could not comply with the Order was that: (1) Flexport did not produce the documents sought in Peloton's fishing expedition; (2) Flexport had the information already; and (3) Peloton did not have access to the "Warehouse App".

The first excuse is ridiculous. The second is not a legal basis to refuse to comply with discovery requests, let alone a Court order. And the third excuse is just an outright misrepresentation. Peloton has always had, and continues to have, complete access to the "Warehouse App", as well as "Core", which in itself reflects the data in the Warehouse App. CPFF147 (acknowledging that Peloton utilized the app during the relevant time period); CXB-2161-CXB-2164 (Beyar Dep.) at 114:4 – 117:9.

Notably – Peloton utterly fails to even make a half-hearted attempt to provide any explanation as to how any delay was the result of Flexport's actions or inactions, but merely refers to Mr. Smith's Second Report – which does not identify a single container or charge anywhere at all.

Finally, as set forth above, the “Appendix 1” prepared by Peloton’s counsel only provides the empty notification dates for a handful of shipments – and the data inputted is completely incorrect.

In sum, Peloton was Ordered to: (1) identify specific documents responsive to discovery requests; (2) provide a detailed privilege log for the audit documents; (3) identify the dates for each container that Peloton provided notification that same was empty; (4) identify for each container the number of days that said container was at Peloton’s facility after the last free day; and (5) state specifically how Flexport caused the delay for each container.

In “compliance” with the Order, however Peloton’s counsel:

1. Prepared an unusable Bates Log with tens of thousands of documents identified;
2. Prepared a clearly incomplete privilege log;
3. Prepared a spreadsheet which only identified 6.7% of 7,000+ containers along with the empty notification dates and days each container was at the facility after LFD – with completely inaccurate information;
4. Claimed that it could not provide a complete spreadsheet since Peloton (or its counsel) somehow did not have this information; and
5. Again referred vaguely to the Second Smith Report for the sweeping basis as to the causes of delay for each container – when the Report does not contain ANY analysis as to ANY container or charge.

And again – there is the audit. Peloton’s excuses as to why it failed to comply with multiple orders are just that – excuses to cover up the fact that Peloton never had a viable claim to begin with.

V. RESPONSE TO SPECIFIC EVIDENCE PRESENTED BY PELOTON.

Before addressing the specific “evidence” Peloton presents, it is important to address what, exactly, this evidence consists of, and more importantly what it completely fails to address.

Again, Flexport has requested, since prior to the inception of this litigation, for Peloton to provide the basis for its claims. Specifically, for each charge at issue, what did Flexport do wrong – other than having provided exemplary services to Peloton through the Covid crises as well as through Peloton’s own internal financial ups and downs.

Peloton refused to do so, even in discovery, asserting a litany of objections that this was somehow “harassing”, “overly broad” and “unduly burdensome”, amongst other frivolous reasons. Finally in discovery, Peloton merely referenced its entire production of 20,000 documents and told Flexport to just “go find it in there”. RX7-RX24 (Peloton’s Resp. and Obj. to Flexport’s Interrogatories). Indeed, at the hearing which took place on March 25, 2025, the Presiding Officer rejected Peloton’s objections and Ordered Peloton to identify specific documents that are responsive to each discovery request.

The next day at deposition, Peloton’s corporate representative testified as to “numerous” examples of unfair charges and issues with Flexport. However, when asked to identify a single shipment, issue or charge, Peloton’s corporate representative again just repeatedly, and robotically, told Flexport to go find the answers in the 20,000 documents:

As I said, we provided exhaustive discovery process and provided over 20,000 documents. The relevant documents are all in our discovery.

CXB-1525 (Peloton 143(b)(6) Dep.) at 38:4-6.

As I said, we went through an extensive discovery process and produced relevant documents to Flexport. You can reference the Bates log that was produced by the Peloton team in January 2025. It lists specific sections where you can find relevant documents.

CXB-1525 (Peloton 143(b)(6) Dep.) at 38:12-17.

As I said, we provided an exhaustive discovery process of documents, over 20,000 of them, as well as a detailed Bates log. You can find all relevant documents there.

CXB-1526 (Peloton 143(b)(6) Dep.) at 39:9-12.

As I said, you can reference the relevant documents that were produced in the exhaustive discovery process, as well as the detailed Bates log Peloton provided.

CXB-1526-CXB-1527 (Peloton 143(b)(6) Dep.) at 39:24 – 40:2.

As Peloton's corporate witness, my testimony is that we provided an extensive document discovery process, as well as a detailed Bates log that lists all the relevant documents. Flexport has access to these documents and can look through the Bates log in order to find the relevant documents.

CXB-1527 (Peloton 143(b)(6) Dep.) at 40:13-18.

My answer again is that we produced over 20,000 documents within the discovery process, and that within those documents, you can quantify exactly how many shipments this was occurring on, as we had thousands moving at the time. You could also reference Flexport's own portal to pull that information.

CXB-1595 (Peloton 143(b)(6) Dep.) at 208:9-15.

So that there would be no confusion, counsel for Flexport asked Peloton's corporate representative if it was aware of the Order entered by the Presiding Officer on March 26, 2025 with respect to providing specific Bates numbers. CXB-1528-CXB-1530 (Peloton 143(b)(6) Dep.) at 41:6 – 43:19. Worse yet, Peloton's corporate representative specifically testified (after evading the answer countless times) that she did not, in fact, have any knowledge as to what was contained in the documents. In other words, although she verified the interrogatory responses which stated that the responses can be found in the documents, she admitted that she did not have any knowledge as to the contents of the documents. Then counsel for Peloton testified that the answers provided

were not from Peloton, but from counsel. CXB-1949-CXB-1962 (Majstorovic Dep.) at 111:24 – 124:14

This is clearly not admissible evidence.

In any event, Peloton was Ordered to specifically identify the documents responsive to each request. Importantly, the response Peloton provided was merely a vague, non-specific statement that the information was contained in the Second Smith Report. CXF-0009-CXF-0022 (Peloton's Second Suppl. Responses to Flexport's Interrogatories).

Flexport then challenged this assertion – and the Presiding Officer held that the reference to the Mr. Smith's Second Report was sufficient. See Order on Pending Motions, Doc. No.72. Flexport does not take any issue with this – because it is Peloton's burden to prove its case. It is Peloton's burden to demonstrate, container-by-container, day-by-day, that each charge was the result of Flexport's unreasonable practices.

Peloton chose to rely solely on Mr. Smith's Second Report and is now completely locked into its sworn responses.

Everything else presented by Peloton is just argument of counsel and its "experts". The Appendix 1 to Peloton's Third Supplemental Responses to Flexport's Interrogatories was prepared by counsel and is not admissible. Exhibit "A" to the Amended Complaint is not admissible.

So now we look in depth at what Smith's Reports reveal.

First, we note that Gregory Smith was specifically retained by Peloton "to quantify the damages incurred by Peloton". He is an accountant. Period. CXD-1430 (First Smith Rpt.) at 1, ¶ 3. Each of his Reports reflect that he has absolutely no experience whatsoever with the logistics industry at all or NVOCCs.

Mr. Smith begins his first expert report with the following statement:

As is customary in evaluating damages in commercial disputes, **I have assumed that Flexport is liable** to Peloton for the violations alleged in the Amended Complaint and that Peloton is entitled to recover damages (reparations) from Flexport.

CXD-1432 (First Smith Rpt.) at 3, ¶ 8.

Mr. Smith then goes on to provide the damage calculations for all demurrage, detention, yard storage and warehousing charges for the entire period from 2020 through 2022.

Thus, his analysis includes not only time-barred charges, but charges for yard storage and warehousing – which are not even included in Exhibit “A” to the Amended Complaint, or recoverable in this action. Further, the entire basis as to the damages are the “store door” terms, a term which this accountant obviously used upon the instruction of Peloton’s counsel. Mr. Smith then goes on to conclude that, since these were “store door” moves:

[the] [r]esulting ocean demurrage, detention, and yard and warehouse storage related to inland transportation, therefore, should not be Peloton’s responsibility, and Flexport’s practice of billing Peloton for all such charges was unreasonable.

CXD-1437 (First Smith Rpt.) at 8, ¶ 20 (citing to Peloton’s Verified Amended Complaint).

Mr. Smith provides no basis for this completely inaccurate legal conclusion which he provides in his damages report (which was prepared based on the assumption that Flexport was liable). Notably, Mr. Smith goes on to declare the following:

Finally, I note that Flexport contends that some of the charges included in Exhibit 1 were incurred due to issues created by Peloton not being able to accept delivery of containers or being slow in unloading containers and those charges should be Peloton’s responsibility. As noted above, it is my understanding that Peloton’s claim in this matter is regarding Flexport’s unreasonable practices in billing all demurrage, detention, and storage charges to Peloton (without demonstrating why Peloton should be responsible). **I have not been asked to nor have I undertaken an analysis to determine whether Peloton may have played some role in any delays leading to the demurrage, detention, and storage charges for any of the more than 7,000 shipments in Exhibit 1.”**

CXD-1443-CXD-1444 (Smith Rpt.) at 14-15, ¶ 38 (emphasis added).

In other words, at no time was Mr. Smith ever asked to analyze whether the D&D charges were the result of Peloton's actions.

Then, in a completely improper maneuver, on May 19, 2025 – weeks after the close of expert discovery, and a scant hour or so after the scheduling of all of the expert depositions were finalized (after asking the Presiding Officer to permit same), Peloton submitted another Expert Report from Mr. Smith – this time submitting him as an expert on liability. This Second Smith Report is the Report upon which Peloton relies for all of its evidence in this case.

But what is the basis for the submission of this belatedly-submitted 9-page report? Mr. Smith reveals that in the opening paragraphs:

Subsequent to issuing my report, I have been provided with **three Excel files produced by Flexport** as well as the April 21, 2025 Expert Report of Gary Kardian; April 28, 2025 Supplement to the Expert Report of Gary Kardian; April 21, 2025 Expert Report of Richard J. Roche; and May 5, 2025 Richard J. Roche Rebuttal of the Expert Report of Gary Kardian. **I have been asked whether the data in the Portal Events Files could add to my analysis, and specifically offer specific insight into the cause of delays related to the demurrage, detention, and storage charges included in Exhibit A to the Amended Complaint.** This report addresses that issue.

CXD-1658 (Smith Suppl. Rpt.) at 1, ¶ 2 (emphasis added).

To be clear, the first and second Events Downloads were produced on December 13, 2024 and March 28, 2025, respectively. These two Events Downloads contained 273,968 lines of data. The last Events Download, which contained solely those seven (7) shipments which were transported prior to May, 2021 but which were invoiced after this date, contained only 1,658 lines. Thus, nearly all of the data in the Events Downloads was in Peloton's possession by March 28, 2025.

Thus, Peloton – and Mr. Smith – clearly already had access to these files when he submitted his First Report – on April 21, 2025, three (3) weeks later. There is absolutely no basis as to why

this Second Report – which is completely based upon the Event Downloads – could not have been produced within the time frame set forth in the Scheduling Order. This is a prime example of the unscrupulous discovery games played by Peloton’s counsel.

But this is not just simply a blatant breach of the Commission’s Rules, the Presiding Officer’s Scheduling Orders and professional and ethical obligations. The Second Smith Report, filed well after the deadline, cannot be considered admissible evidence. And since Peloton relies exclusively on this evidence in support of its claims, the claims must be summarily discarded.

As such, Flexport restfully submits that the Second Report be stricken and is filing a Motion to Strike contemporaneously herewith.

Notwithstanding the foregoing, Flexport addresses the analysis presented by Mr. Smith in his Second Report to highlight how even this inadmissible evidence is completely insufficient for Peloton to prove its claims.

As set forth above, Mr. Smith makes clear that his legal analysis is based upon his review of the Events Downloads. CXD-1658 (Smith Suppl. Rpt.) at 1, ¶ 2. However, Mr. Smith’s entire opinion is based upon the following false, unsupported premise – that the references to “events” in the Events Downloads (such as chassis, missed appointment, etc.) provides conclusive proof that Flexport was responsible for the all of the D&D charges assessed for that particular shipment. CXD-1664-CXD-1665 (Smith Suppl. Rpt.) at 7-8, ¶¶ 16-18. This is not mere conjecture, as Mr. Smith clearly proclaimed: “Supplemental Exhibit 4 contains a summary of the responsibility assessments based on the shipment events (e.g. trucking delays, chassis issues, etc.) for each shipment.” CXD-1660 (Smith Suppl. Rpt.) at 3, ¶ 7. What is important to understand is that Mr. Smith unilaterally declares what the meaning behind the entries in the Events Downloads without any basis for this conclusion. This fact alone undermines his entire analysis. Indeed, Mr. Smith

relies exclusively on the Expert Rebuttal Report of Richard Roche with respect to the definitions of each of the events. CXD-1664 (Smith Suppl. Rpt.) at 7, n.12-16. Yet, as Mr. Roche expressly stated “In my review of the Peloton Events download....I found nothing simple about it given that the data lacked uniformity, legibility, and clarity”. CXD-2483 (Roche Rebuttal Rpt.) at 16, ¶ 46. It is therefore incredible that Mr. Roche (who is on the Board of the NCBFAA and works for a logistics company for decades) found the meaning of the entries in the Events Download to be unclear, but an accountant with no experience at all in the logistics industry at all could make such sweeping, definitive conclusions.

To be clear, Peloton never asked Flexport’s corporate representative – who was responsible for preparing the Events Downloads – about any these entries or what they mean. Mr. Smith just unilaterally concluded what he believed they signified mean.

Mr. Smith then just concludes, based solely on the number of times that an “event” was listed, who was responsible for the entire charge. CXD-1659-CXD-1660 (Smith Suppl. Rpt.) at 2-3, ¶ 7.

Here is how Mr. Smith’s legal analysis completely fails:

First, there can be – and indeed are – hundreds of examples where an “event” can be logged for a particular shipment dozens of times. For example, between Lines 2554 and 2575 there are there are eight (8) separate “events” for shipment 1194650 identified as “Trucking Delay: Other”. However, all of these “events” took place within less than a three (3) minute period!²⁸

The reason is simple – the trucker and/or Peloton and/or Flexport just entered and re-entered “trucker delay”. This in no way means that there were eight (8) trucker delays for the same shipment within 3 minutes. This also does not mean that there was in fact any delay which caused

²⁸ The first entry, Line 2554, was entered at 17:29:40 while the last entry, Line 2575 was entered at 17:32:35. CXD-2646 (Events Download October 2021 – October 2024).

demurrage or detention to be incurred. But that is exactly what Mr. Smith’s analysis is based on – the number of times that such event was listed for each shipment. CXD-1664-CXD-1665 (Smith Suppl. Rpt.) at 7-8, ¶¶ 16-18. That’s all he does – he lists for each invoice the number of times that an “event” is listed for each invoice. Then Mr. Smith makes the sweeping conclusions that since an “event” was listed, then all D&D charges assessed in that Flex ID Invoice are unreasonable. *Id.*

Mr. Smith himself states that he “developed initial search terms to identify entries that may contain information on the causes of demurrage, detention, and storage charges invoiced to Peloton.” CXD-1662 (Smith Suppl. Rpt.) at 5, ¶ 12. He then goes on to state that he “then ran searches of the Portal Events Files with the initial search terms...to identify similar terms that show up in the data that may provide information to assess the causes of the charges.” *Id.* Mr. Smith then summed up exactly what he did:

Utilizing the search terms described above, I identified the shipments listed in the Portal Events Files with relevant information on the causes of delays and mapped those to the charges detailed in Exhibit 1 to the Initial Smith Report. Supplemental Exhibit 3 provides a listing of all Flexport shipments included in Exhibit 1 to the Initial Smith Report and identifies **the number of shipment events by search category/term in the Portal Events Files.** **The shipment events indicate the number of entries in the Portal Events Files that contain the search terms for the referenced search category.** Supplemental Exhibit 4 contains a summary of the responsibility assessments based on the shipment events for each shipment.

CXD-1664-CXD-1665 (Smith Suppl. Rpt.) at 7-8, ¶ 16.

It is important to understand what Mr. Smith does not say. Mr. Smith references the “events” for each invoice. But, as the documents reveal, each invoice typically included multiple containers. CXE-0002-3, CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168, CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228; RX65-RX125 (Flexport invoices sample).

Moreover, the mere reference to an “event” does not implicate any delay, and at no point whatsoever does Mr. Smith link any such “event” with any particular container.²⁹

Notably, (regardless of the fact that this would be irrelevant anyway) there is no reason why Mr. Smith could not have done so, since the containers themselves were specifically listed in the Events Downloads, the Invoices, Delivery Orders and the other spreadsheets produced by Flexport. Indeed, the absence of any reference to containers in the analysis is perplexing, particularly when Mr. Smith asserts (incorrectly) that the container ID was included in the materials he reviewed. That is, in his Initial Report, Mr. Smith expressly stated that, in assessing the damages in this matter, he reviewed the “Flexport Charge File”, which he identifies as the spreadsheet entitled “Peloton Aggregate Shipment Details”. CXD-1438-CXD-1439 (Smith Rpt.) at 9-10, ¶¶ 23-24. Mr. Smith then expressly states that “The Flexport Charge File is reflected in Exhibit 1” and specifically describes the relevant line-item records, including the “**Container Number**”. CXD-1438-CXD-1439 (Smith Rpt.) at 9-10, ¶ 24 (emphasis added).

Exhibit 1, however, does not contain any reference at all to any container – only the shipment ID (the invoice). In the Second Report, Mr. Smith specifically states that he mapped the charges to Exhibit 1 in the Initial Report. CXD-1664-CXD-1665 (Smith Suppl. Rpt.) at 7-8, ¶ 16.

Thus, despite clearly having the ability to assess a container-by-container charge, Mr. Smith failed to do so.

²⁹ Notably, Peloton did not ask a single question to any Flexport witness as to the meanings behind any of the event entries in the Events Download. Indeed, Peloton took the depositions of Ryan Tanner – twice! – both in his individual capacity and as corporate representative designated to testify on a variety of topics, including the documents production. Peloton did not ask him a single question regarding the Events Download.

Moreover, Mr. Smith does not link any “event” with any delay. He only concludes that the reference to such event means that any resulting charges were unreasonable. But he does not ever provide any analysis that the “event” actually led to any delay.

Nor does Mr. Smith link any “event” to any particular charge – **at all**. Again, Mr. Smith merely states that an “event” was listed X number of times and thus, **all** charges relating to the referenced invoice should be Flexport’s responsibility. Thus, Mr. Smith makes no analysis at all as to the number of days of D&D which were caused by the “event”. Indeed, Mr. Smith admits this failure in his Second Report:

There were also shipments in the Portal Events Files that provided some indication of Peloton responsibility but also indication of Flexport responsibility. For example, there were some shipments for which the Portal Events Download indicated there was both at one point a Peloton capacity issue and also showed there were problems getting appointments at the terminal on the same shipment.

CXD-1665 (Smith Suppl. Rpt.) at 8, ¶ 17.

No delineation is made as to the apportionment of the charges – which, again, were analyzed per invoice, not by container.

The recent rulings by the Commission make clear that, in order to prevail, Peloton needed to provide a container-by-container and day-by-day analysis for each charge at issue. Peloton does not even come close to this. There is no charge linked to any container. There is no charge linked to any particular day. There is only a blanket assertion as to the entire invoice (consisting of several containers), without any analysis as to liability or extent of liability.

For example, hypothetically an invoice could (and indeed does) reflect distinct D&D charges for 5 containers. Each of the containers was assessed for a different number of days outside of free time. The invoice itself reflects a charge of \$100,000 for all. Based upon Mr. Smith’s

analysis, Flexport should be responsible for the entire charge – for all days and all containers – without providing any support as to any particular day, container, charge or reason?

Indeed, Flexport highlights specific examples as to how Mr. Smith’s analysis fails³⁰. As set forth above, Peloton had significant capacity issues at its Perris facility. On February 9, 2022, Flexport advised that there were 23 containers that have been on hold in JCT’s yard for delivery to Perris, with a spreadsheet attached. RX212-RX215. The spreadsheet attached to this email contained a list of invoices and the containers associated with same. Flexport states that it was advised by Peloton that these containers were to be re-routed to its San Bernadino facility, and Peloton confirms that some will also be send to its Vernon facility. As such, Peloton was not only fully aware that these containers were being held at JCT because Perris was full, but that they would not be re-routed to two different facilities.

Now we look at Smith Supplemental Exhibit 3, line 1525, which lists the Flex ID of FLEX-1328111. CXD-1701 (Smith Suppl. Rpt. Ex. 3). Mr. Smith notes that the charge was \$34,555 and there were 4 notations of “chassis”, 7 for “inland carrier” and 1 “congestion. *Id.*

Yet, the spreadsheet attached to the email identifies three (3) containers associated with this Flex ID. As reflected in invoice FLEX-1328111-3, each of these containers was assessed detention, demurrage and yard storage which add up to the amount set forth in Exhibit 3.

Next, we look at Smith Supplemental Exhibit 3, line 1573, with a definition of “congestion” and “damages” of \$14,550. CXD-1702 (Smith Suppl. Rpt. Ex. 3). This invoice listed – and the spreadsheet attached to the email, consisted of three (3) separate containers. However, this shipment actually consisted of two separate invoices, FLEX1317652-3 and FLEX1317652-5. The

³⁰ An exhaustive list would take an inordinate amount of time – both for Flexport and the Presiding Officer. But such a monumental task is unnecessary and unwarranted because it is Peloton’s burden, not Flexport’s. The examples provided herein are random samples taken to clearly demonstrate the flaw in Mr. Smith’s analysis and his legal conclusions.

first invoice was for \$9,910 and contained yard and detention charges for all three (3) containers. The second was for \$4,640.00 was for demurrage and was only for one container.

Another invoice listed on the spreadsheet attached to the email was FLEX-1328103. This shipment also consisted of two (2) containers. The first invoice, FLEX-1328103-5 for \$8,350.00 sets forth the demurrage, detention and yard storage for one container , while the second invoice FLEX-1328103-3 includes the charges for the second container – as well as charges for a separate container. For these containers, held at JCT’s yard and then diverted by Peloton, with Peloton’s knowledge and instruction, Mr. Smith lists 2 “chassis” events, 9 “inland carrier” and 1 “congestion”.

To be clear, Mr. Smith is challenging the yard storage, and D&D charges for invoices which included containers which Peloton could not accept at their facilities – without including a single container, a single charge for that container, or a single reason that charge was assessed.

Moreover, had Mr. Smith reviewed the evidence regarding Peloton’s role in causing or contributing to the delays, then these charges should clearly have not been included as “damages” for which he claims Flexport is liable.

But it goes deeper than that.

As Mr. Smith made clear, all of the damages set forth in Smith Supplemental Exhibit 3 are reflected in Exhibit “A” to the Amended Complaint. As the testimony makes crystal clear, Exhibit “A” reflects all of the Flexport invoices that were part of the audit undertaken by Mr. Beyar and his team. CXB-1923 (Majstorovic Dep.) at 85:20-25. Mr. Beyar also testified that, in the scope of his audit he reviewed his emails for each of the invoices at issue.

And Mr. Beyar is copied on the email identified above.

So that leads to the question – since Mr. Beyar reviewed his emails, and Peloton was clearly aware as to the delays that Peloton caused as to these shipments because it had no capacity, then wouldn't Mr. Beyar have included in his notes in the spreadsheet from the audit as to the causes of the delays, as he testified to? The spreadsheet, of course, which was deliberately concealed and claimed as “privileged”.

It is important to note that all of the facts set forth above were derived from the documents produced in this litigation by Flexport in its initial production in December, 2024. Based upon this mere sampling, two conclusions must be reached: (1) Mr. Smith's analysis is completely flawed and must be wholly rejected as both unreliably and contrary to Commission precedent; and (2) an adverse inference is clearly warranted as to the contents of the “audit” records.

VI. AN ADVERSE INFERENCE IS WARRANTED

As set forth above, it cannot be more clear that an adverse inference is warranted holding that the audit results and withheld documents contain information which completely undermines Peloton's claims.

Clearly Peloton was aware that its capacity issues and all of its facilities, Perris included, greatly caused or contributed to the delays – both in pulling the containers from the port and returning same. Clearly Mr. Beyar was aware of same since he was copied on several emails, including the Perris email above. Yet, the full invoice value for each of these shipments was included in the claim – which was verified.

Mr. Beyar testified to using BlueCargo in his audit. Mr. Roche stated that he used BlueCargo all the time. Yet Peloton did not introduce a single webpage from BlueCargo showing any availability or unavailability for any appointment.

Why? Why wouldn't these documents be produced? Why would Peloton refuse to provide any information as to its claims? Why would Peloton's counsel outright refuse to provide any information, saying he "didn't have to"?

Either Peloton (and its counsel) realized they had no viable claim at all, or worse – that its records reflected what the public already knows – that Peloton utterly failed to manage its business while reaping profits from the Pandemic, and now week to recover for it ineptitude.

That is Peloton's entire case. Everything else is just inadmissible evidence, unsupported legal conclusions, and Peloton's unfounded claim that it somehow does not have the information it needs to prove its case – which it should have had before filing suit.

VII. COMMISSION PRECEDENT WARRANTS DISMISSAL.

The recent case of *Samsung v. SM Line* is particularly instructive due to the similarities with the instant case. Samsung's attorneys are the same as Peloton's. The Initial Decision was entered by the same Presiding Officer herein. Samsung's claim was that "the ocean carrier in store door shipments is responsible for arranging and paying for both the ocean and inland movement of cargo, and, as such, was responsible for all detention and demurrage charges for the inland transportation of SEA shipments, except in very limited circumstance where SEA's actions caused such charges." *Samsung v. SM Line*, 2025 WL 2231637, at *6.

Both John McCown and Gregory Smith were also designated as experts in *SM Line*. The record therein was also replete with countless examples as to the fault of Samsung as the cause of the delays which led to the detention and demurrage charges assessed.

Notably, as is the case here, neither Mr. McCown, Mr. Smith nor Samsung (represented by Holland & Knight) conducted a container-by-container analysis for each charge at issue, which is why the same counsels for Samsung with the same legal theory as in this case, failed. Also notably, Samsung (like Peloton here) "did not investigate accessorial charges, demurrage charges, and

detention charges to determine cause of delay and allocate charges based on fault, but rather paid all charges and looked back at the data after the fact.” *Id.* at ¶ 46.

Samsung’s position was succinctly stated by the Presiding Officer as follows:

SEA’s principal argument is that SM Line acted unreasonably by imposing demurrage and detention charges against the shipments at issue because it was responsible for inland transportation on store door moves and therefore responsible for all demurrage, detention, and accessorial charges absent a prior determination that SEA’s performance was responsible for the charges. Thus, SEA argues that SM Line is responsible for all charges imposed on store door moves absent a determination in advance that SEA is at fault. This premise forms the basis of SEA’s corollary arguments that the charges at issue did not serve the primary purpose to incentivize the movement of cargo; that SM Line was first required to evaluate which party was responsible for the charges before imposing the charges; that SM Line failed its obligation to certify that its performance did not cause or contribute to the underlying invoiced charges; and that SM Line had responsibility under a through bill of lading to arrange terminal cargo release.

Id. at *40.

Likewise, that is precisely what Peloton is claiming. CXA-0039-CXA-0040 (Peloton’s Verified Amended Complaint) at 4-5, ¶¶ 17-18; Brief at 59.

The Presiding Officer re-affirmed the Commission’s position as set forth by Chief Administrative Law Judge Wirth in *Hapag Lloyd*, holding:

Thus, in the absence of a container-by-container analysis with information as to why each shipment remained in port beyond the last free day, as is the case here, there will generally be insufficient information in the record to determine whether or not the demurrage and detention charges at issue serve their primary intended purpose under the incentive principal of promoting freight fluidity, in accordance with section 545.5.

Samsung v. SM Line, 2025 WL 2231637, at *42.

The Presiding Officer outright rejected the blanket assertion that D&D cannot be assessed in store-door moves:

SEA's argument that an ocean common carrier is responsible for detention and demurrage on store door moves is not supported by the applicable guidance. Despite that commentators argued that ocean carriers should not be able to charge shippers demurrage and detention on carrier haulage/store door moves, the Demurrage and Detention Final Rule does not contain such a provision. Rather, the Commission expressed that it had concerns about charging shippers demurrage on carrier haulage moves under section 41102(c) and would closely scrutinize them in an appropriate case. 85 Fed. Reg. at 29664-29665. Thus, it is clear that the Commission has not determined that demurrage and detention cannot be charged on store door moves, but rather may be closely scrutinized when appropriate to do so.

Id. Yet – this is precisely what Peloton is arguing as to why it should not have to pay the charges.

See CXD-0011, CXD-0019 (Roche Rpt.) at 11, ¶ 6, 19, ¶ 40; Brief at 59.

Further, the Presiding Officer also found that:

SEA's argument that an ocean common carrier is responsible for detention and demurrage on store door moves is also undermined by the fact that it admits that it is appropriate to assess demurrage and detention charges against a consignee in store door moves when it is responsible for the delay, such as when inland transportation is impossible due to the inability of the warehouse to receive cargo or diversion to a new customer due to the fault of SEA.

Samsung v. SM Line, 2025 WL 2231637, at *42.

Likewise, here the record is replete with evidence that it was Peloton's failure to have sufficient space at its facilities to receive the containers – allowing the containers at the port to sit there collecting demurrage – all the while the containers at its facilities collected demurrage. And keeping containers and chassis out of the supply chain.

Further, the Presiding Officer rejected Mr. McCown's expert report as “unpersuasive **due to his failure to perform a container-by-container analysis**. *Id.* at *43. (“The undersigned finds Mr. McCown's report to be unpersuasive due to his failure to perform a container-by-container analysis.”). “Mr. McCown's review of industry practices, contractual obligations, and income growth data does not shed light on the underlying facts and circumstances necessary to make a

reasonableness determination under a fault analysis.” *Id.* Notably, that is exactly what Mr. McCown did here as well:

Likewise, Mr. Smith’s report was rejected by the Presiding Officer:

As previously stated, SEA did not provide a container-by-container analysis that includes the factual basis for which each demurrage and detention charge was assessed. Rather, SEA’s expert, Gregory Smith, provided an analysis of all charges incurred by SEA during the time frame at issue without identifying the cause of each charge, that is whether each charge resulted from chassis unavailability, trucker unavailability, warehouse issues, a port closure, or another reason....In the absence of a container-by-container analysis specifying the cause of each charge in dispute, a complainant generally fails to meet its burden to establish that the damages sought proximately resulted from the unreasonable practices alleged.

Id. at *46.

Of course, Peloton will certainly argue in its Reply that Mr. Smith did conduct this analysis, as set forth in his Second Report (filed after the deadline). However, as set forth herein, here, Mr. Smith merely identified the number of times an “issue” had been listed in the Events Download for an invoice. There was nothing linking that “issue” to any charge assessed. And there was nothing linking that “issue” to any particular container.

This was not the case with *SM Line*, which had produced a document in discovery which specifically stated the reason for the charge itself:

SM Line’s **internal analysis** is based primarily on e-mail communications it reviewed shortly after the complaint was filed.....In the analysis, port congestion is listed **as the reason for 63 charges** in the amount of \$644,972.9, and chassis shortage is listed **as the reason for 52 charges** in the amount of \$1,268,382.9.

Id. at *47 (emphasis added).

There is no such evidence here at all as there is not a single document showing that Flexport made an internal determination that it caused any D&D charge for any container.

The case of *Samsung v. ZIM* is also very similar. Counsels for Peloton also represented Samsung in that case and presented the same allegations – that Samsung should not be responsible for D&D under “store door” moves. As the Presiding Officer held:

SEA, however, has not established that ZIM was responsible for all detention and demurrage charges on door delivery/carrier haulage shipments. SEA does not present evidence necessary to determine which specific detention and demurrage charges were the fault of ZIM, particularly given that some charges were due to SEA’s customers’ inability to accept deliveries, the parties contemporaneously negotiated disputed charges, and it is not clear from the record which charges ZIM waived. Therefore, charging demurrage for store-door/carrier haulage is not found to be an unreasonable practice.

Samsung v. ZIM, 2025 WL 1255544, at *2.

Also similar in each case was how the D&D charges were assessed. In each of the cases, the D&D was assessed in accordance with the parties’ respective tariffs, which were specifically referenced in the service contracts. *Id.* at *53; *See* CXC-0040-CXC0041 (Ex. B to MSA 2020); CXC-0058-CXC-0059 (Exhibit B to MSA 2021); CXB-0039, CXB-0154 (Flexport 143(b)(6) Dep.) at 39:14-21; 154:6-11.

Importantly, the Presiding Officer held:

Regarding liability, SEA did not provide a shipment-by-shipment analysis of the containers that accrued damages, instead arguing that “ZIM’s conduct and practices applied to categories of shipments.”

Samsung v. ZIM, 2025 WL 1255544, at *58.

Further, the Presiding Officer in *ZIM* made clear that a Complainant must provide evidence of each violation, rather than sweeping conclusions as to categories of shipments and practices. Notably, Samsung had attempted to argue (relying on *Hapag Lloyd*) that if there were no appointments available to pick up or return a container, then the practice was found to be unreasonable. *Id.* This argument was rejected outright, however:

However, a closer reading of the case will show that a violation was found only for the days “when there is evidence that sufficient appointments were not available” but that a violation was not found were there was no evidence regarding the availability of appointments. *Hapag-Lloyd, A.G.*, Docket No. 21-09, 2022 WL 1239377, at *2, *30 (ALJ Apr. 22, 2022) (FMC approved settlement, June 8, 2022). Therefore, providing sufficient evidence is critical.

Id. (emphasis added).

Here – Peloton has not introduced ANY evidence at all as to lack of appointments or availability. This is curious since Peloton argues that such information is available. CXD-0017-CXD0018 (Roche Rpt.) at 17-18, ¶ 33.

So, Peloton, and its “expert” rely on BlueCargo to show appointments – and then do not provide a single screenshot for any appointment. Thus, Peloton not only fails to provide “sufficient” evidence, but any evidence at all.

The Presiding Officer summed it up perfectly:

SEA has not established that ZIM is responsible for all of the demurrage and detention charges incurred and has not provided a shipment-by-shipment analysis sufficient to determine why specific containers incurred demurrage and detention charges. SEA has not established that ZIM charging demurrage and detention on store-door delivery with carrier haulage was an unreasonable practice, therefore, these facts do not support a 41102(c) violation.

Samsung v. ZIM, 2025 WL 1255544, at *59.

One last case deserves a brief examination: *Visual Comfort*. That case....

Visual Comfort reinforces the container-by-container analysis required as set forth by Chief

Judge Wirth in *Hapag Lloyd*:

Due to the fact-specific nature of whether D&D charges are just and reasonable, it is appropriate to review the charges related to each individual container in order to determine whether a charge was unjust or unreasonable. This is precisely what Chief Judge Wirth did in *Hapag-Lloyd A.G.*, which was another case involving allegedly unjust and unreasonable

D&D charges, and which was decided before the present case was commenced.

Visual Comfort, 2025 WL 1662697, at *24.

Notably, in *Visual Comfort*, the issue as to the evidence necessary was illustrated perfectly to provide guidance to a claimant:

Among other things, the ALJ noted that the trucking company that worked at the relevant port provided evidence that it attempted to make appointments to return containers, that it took **screenshots of the appointment calendar** if appointments were unavailable, that it used **evidence from a website that gathered appointment data**, and that it emailed the respondents regarding unavailability. (*Id.* at *21, *27). **The ALJ concluded that where documentation was absent, she was unable to make findings.** (*Id.* at *27).

Id. (emphasis added).

In the instant matter, Peloton has not produced any evidence any all in support of any particular charge. Despite having the information available – and indeed conducting a secret audit on same – Peloton has not provided (from any of its 3 experts) the requisite container-by-container, day by day analysis for each charge at issue. Since there is no evidence, the claims must be summarily denied.

VIII. PELOTON’S OSRA CLAIMS FAIL

Peloton devotes three (3) entire paragraphs of its Brief in a half-hearted attempt to support its claims that Flexport violated OSRA 2022. Peloton’s entire proof is as follows:

1. Flexport issued invoices after June 16, 2022 which did not provide certain information required by OSRA 2022; and
2. “Since July 2022, Flexport issued thirteen (13) invoices to Peloton, totaling \$83,390 in charges.”

Brief at 60.

That is all. Peloton does not bother to identify ANY of these invoices. Also, Peloton only states that Peloton “issued invoices after July, 2022” without stating that that these invoices did not comply with OSRA 2022. Peloton does not refer to any invoice at all. As such, the claim should be denied. Is Peloton expecting the Presiding Officer to delve through “Exhibit “A” and the invoices issued by Flexport to try to find these invoices? It is noted that, as Flexport has mentioned before, there is no rhyme or reason to how the invoices in Exhibit “A” are arranged. Further, there is no date of issuance listed for any invoice – only a month. Additionally, as Mr. Smith confirmed, the “D&D” charges listed in Exhibit “A” in fact also include charges for yard storage and warehousing – which are not included in OSRA 2022’s invoicing requirements.

Despite these unexplained failures of proof, Flexport refers to its own Exhibit “A” attached to its Answer. Flexport’s Answer and Affirmative Defense, Doc. No. 16, Ex. A. As Flexport set forth in its Motion for Judgment on the Pleadings, Flexport highlighted in yellow in its Exhibit “A” the 19 invoices which Peloton claimed violated OSRA 2022. *See* Flexport’s Motion for Judgment on the Pleadings, Doc. No. 20. Of these, 3 invoices were issued before June 16, 2022, and 7 invoices were for storage charges. For the remainder, Flexport had in fact issued OSRA Addenda which contained the requisite information. *See* RX25-RX32.

At no point has Peloton claimed that it did not receive the Addenda, nor that the requisite information was not included therein.

To be clear, the Commission has specifically resolved the issue as to whether the requisite information can be contained in extraneous document, such as an attachment, addendum or exhibit:

E. § 541.5 Failure To Include Required Information

1. Invoice Attachments

Issue: Four commenters requested clarification whether a billing party may provide the required data elements as an attachment, addendum, additional pages, etc. to their invoice, for reasons of convenience or necessity because of the invoice's length.

FMC response: The required information may be included as an attachment to the invoice, as the statute simply requires that invoices “include” this information. In addition, § 541.6 states that an invoice must “contain” that information. As such, it is the Commission's position that this information may be included as an attachment, or otherwise incorporated.

89 Fed. Register 14330, 14341.

Peloton does not even bother to support its OSRA 2022 invoice claim and as such, same should be summarily denied.

Likewise, Peloton’s Section 41104(a)(14) also fails. First, again, Peloton does not even identify the shipments which are at issue. Second, as set forth throughout this Reply Brief, Peloton has failed to prove any pattern of noncompliance with the Shipping Act which would warrant this claim.

IX. CONCLUSION.

Peloton presents no evidence whatsoever to show, for each container at issue, how any D&D charge was the result of any breach by Flexport of the Shipping Act. Peloton instead relies solely upon arguments (and “evidence”) of its counsels, who have concocted these claims and directed each stage of this litigation, and the legal conclusions of three “experts” whose opinions provide no assistance to the Presiding Officer, who is obviously aware of the roles and responsibilities of an NVOCC. The evidence is clear, however, that all of the delays alleged were the result of Peloton’s failures to manage its own production and inventory. Peloton significantly contributed to the entre supply chain dilemma by holding onto containers and chassis for the aggregate equivalent of decades. These actions prevented full containers and chassis from being pulled from the port and delivered – and prevented the return of the empty containers.

Flexport bent over backwards to find solutions for Peloton in a time of global crisis – and Peloton greatly profited from the services Flexport provided. Peloton continued to use Flexport without complaint for years, all the while reviewing, approving, and paying millions of dollars of

D&D that Peloton caused. Then, years later, and after Peloton's stock had plummeted due to its well-publicized business failures, it decided to capitalize on the trend of shippers seeking to recover D&D charges. The fact that Peloton has hidden the results of the extensive audit it conducted of each invoice is telling. As Flexport has maintained throughout, Peloton never had a viable claim and had no right to file this action which should be summarily dismissed.

Dated: September 15, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on September 15, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.